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Lesson 19 – Valuing Stocks (Summarized Notes)

Valuing Stocks

Valuing stocks means estimating the true worth of a company's shares. Different people use different methods to determine stock value.

Different Approaches to Stock Valuation

Chartists predict stock prices by studying past price movements and market trends.

Behavioralists estimate stock values by analyzing investor psychology and behavior.

Fundamental analysts determine stock value by studying the company's financial statements, current assets, and expected future profits.

The fundamental value of a stock is calculated using the present value of future payments while considering the level of risk.

Chartists and Behavioralists mainly focus on how market prices differ from the stock's fundamental value.

Fundamental Value and Dividend Discount Model (DDM)

A stock provides future payments to investors in the form of dividends.

The current price of a stock is equal to the present value of all future dividends and the future selling price of the stock.

If dividends grow at a constant rate every year, future dividends can be estimated using the growth rate.

When dividends continue forever at a constant growth rate, the Dividend Discount Model (DDM) is used.

According to the Dividend Discount Model, stock prices increase when dividends are higher, dividend growth is faster, or interest rates are lower.

Why Stocks are Risky

Stockholders receive profits only after all other obligations, including payments to bondholders, have been completed.

Because shareholders are paid last, they are called residual claimants.

Using more debt creates financial leverage, which increases both expected returns and investment risk.

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Higher leverage increases the possibility of larger gains in good years and larger losses in bad years.

Due to limited liability, shareholders lose only the amount they invested if the company goes bankrupt.

Stock returns are highly uncertain because they depend on the firm's remaining profits after all debts have been paid.

Important Exam Points

Fundamental analysis values stocks by examining financial statements and future profitability.

The Dividend Discount Model values a stock based on the present value of future dividends.

Stock prices rise when dividends increase, dividend growth is higher, or interest rates fall.

Shareholders are residual claimants because they receive payments after all creditors.

Financial leverage increases both the expected return and the risk of investing in stocks.

5 Important MCQs

Q1. Fundamental analysts estimate stock value by studying:

- A) Weather conditions
- B) Past stock prices only
- ✓C) Financial statements and future profitability
- D) Investor emotions only

Q2. According to the Dividend Discount Model, stock prices increase when:

- A) Interest rates increase
- ✓B) Dividends are higher and grow faster
- C) Company debt increases
- D) Inflation rises

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Q3. Shareholders are called residual claimants because they:

- A) Receive payment before bondholders
- B) Receive fixed interest every year
- ✓C) Receive profits after all other claims are paid
- D) Never bear any risk

Q4. Financial leverage is mainly created by:

- A) Paying higher dividends
- B) Increasing sales
- ✓C) Using debt financing
- D) Buying more shares

Q5. Why are stocks considered risky?

- A) They always lose value
- B) They guarantee fixed returns
- ✓C) Shareholders receive uncertain returns after all debts are paid
- D) They pay interest like bonds

Lesson 20 – Risk and Value of Stocks (Summarized Notes)

Risk and Value of Stocks

The Dividend Discount Model (DDM) is adjusted to include compensation for the risk of investing in stocks.

Since the future selling price of a stock is uncertain, investors demand a **risk premium** in addition to the risk-free return.

The required return on a stock is equal to the **risk-free return plus the risk premium**.

The risk-free rate is usually based on the interest rate of short-term government treasury securities.

The adjusted Dividend Discount Model shows that stock prices depend on dividends, dividend growth, the risk-free rate, and the risk premium.

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Factors Affecting Stock Prices

Stock prices are high when current dividends are high.

Stock prices increase when dividends are expected to grow rapidly.

Lower risk-free interest rates increase stock prices.

A lower risk premium also increases the value of stocks.

Sometimes actual stock prices are higher than their fundamental value because investors demand a lower risk premium or become overly optimistic.

Theory of Efficient Markets

The Efficient Market Theory states that stock prices reflect all available information.

Financial markets adjust quickly whenever new information becomes available.

Because all available information is already included in stock prices, future price movements cannot be predicted consistently.

No investor can regularly earn higher returns than the overall market unless they take greater risk, are unusually lucky, have illegal private information, or markets are not fully efficient.

Investing in Stocks for the Long Run

Stocks appear risky in the short run because prices fluctuate frequently.

When held for a long period, stocks become less risky and usually provide higher returns than bonds.

Long-term investing reduces the impact of short-term market fluctuations.

Stock Market's Role in the Economy

The stock market determines the market value of companies.

Companies with higher stock values can raise funds more easily for expansion and investment.

Companies with lower stock values often face difficulty obtaining financing.

When stock prices reflect true fundamental values, resources are allocated efficiently throughout the economy.

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Stock Market Bubbles

A bubble occurs when stock prices rise far above their fundamental values.

Bubbles are mainly caused by excessive investor optimism and market excitement.

Eventually, bubbles burst, causing sharp declines in stock prices known as market crashes.

Market crashes reduce investment, slow economic growth, and can negatively affect the entire economy.

Financial Intermediation

Financial intermediaries are institutions such as banks, insurance companies, investment companies, brokerage firms, and pension funds.

They collect money from savers and provide funds to borrowers.

Financial intermediation includes direct finance, where borrowers sell securities directly, and indirect finance, where financial institutions stand between savers and borrowers.

Financial intermediaries evaluate borrowers, reduce investment risk, and support economic growth.

Role of Financial Intermediaries

Indirect finance is more important than direct finance in most countries.

Financial intermediaries reduce transaction costs and information costs for both lenders and borrowers.

They pool the savings of many individuals and make large loans possible.

Financial intermediaries provide safekeeping, payment services, liquidity, risk diversification, and information processing.

These functions improve the efficiency and stability of the financial system.

Important Exam Points

The required return on a stock equals the risk-free return plus the risk premium.

According to the Efficient Market Theory, stock prices reflect all available information.

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Stocks are generally less risky when held for the long term.

Stock market bubbles occur when prices rise above their fundamental values.

Financial intermediaries reduce transaction costs, information costs, and investment risk.

5 Important MCQs

Q1. The required return on a stock is equal to:

- A) Dividend + Growth Rate
- B) Risk-Free Rate Only
- ✓C) Risk-Free Return + Risk Premium
- D) Interest Rate + Inflation

Q2. According to the Efficient Market Theory, stock prices reflect:

- A) Past prices only
- B) Investor emotions only
- ✓C) All available information
- D) Government policies only

Q3. A stock market bubble occurs when:

- A) Stock prices fall below book value
- B) Companies stop paying dividends
- ✓C) Stock prices rise above their fundamental values
- D) Interest rates become negative

Q4. Which institutions are financial intermediaries?

- A) Factories
- B) Retail stores
- ✓C) Banks and insurance companies

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D)Manufacturing firms

Q5. One major function of financial intermediaries is to:

A)Increase transaction costs

B)Guarantee profits to investors

✓C)Reduce information and transaction costs

D)Control stock prices

Lesson 21 – Role of Financial Intermediaries (Summarized Notes)

Role of Financial Intermediaries

Financial intermediaries play a vital role in the economy by connecting savers with borrowers.

Indirect finance through financial intermediaries is more important than direct finance through stock and bond markets in most countries.

Banks and other financial institutions provide most of the financing used by individuals and businesses.

Financial intermediaries reduce transaction costs and information costs, making lending and borrowing easier and more efficient.

International banks also facilitate cross-border transactions by transferring funds between countries and converting currencies for businesses and travelers.

Main Functions of Financial Intermediaries

Financial intermediaries perform five major functions in the financial system.

They pool the savings of many small savers and provide large amounts of funds to borrowers.

They offer safekeeping, accounting services, and access to the payment system.

They provide liquidity, allowing customers to withdraw funds whenever needed.

They help diversify risk by spreading investments across different borrowers and assets.

They collect and process financial information to reduce information costs and improve lending decisions.

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Pooling Savings

One of the primary functions of financial intermediaries is to combine the savings of many individuals.

Pooling savings allows banks to provide larger loans that individual savers cannot offer on their own.

Banks attract depositors by maintaining a strong reputation and providing government-backed deposit insurance.

This process forms the basis of indirect finance.

Safekeeping, Payments System, and Accounting

The earliest bankers were goldsmiths who stored gold safely and issued receipts to depositors.

People eventually began using these receipts as a form of payment instead of carrying gold.

Modern banks continue this role by safely holding deposits and protecting customers' money.

Banks provide payment services such as ATMs, cheques, debit cards, and online banking.

They also maintain financial records, monthly statements, and accounting services that help customers manage their finances.

Comparative Advantage and Economies of Scale

Financial intermediaries reduce transaction costs, allowing people and businesses to specialize in the activities they perform best.

According to the principle of comparative advantage, specialization increases trade and improves economic efficiency.

As financial transactions increase, low transaction costs become even more important.

Financial intermediaries benefit from economies of scale because providing services to many customers lowers the average cost.

Information gathering also becomes more efficient when handled on a large scale.

Important Exam Points

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Financial intermediaries connect savers with borrowers through indirect finance.

The five main functions are pooling savings, safekeeping, liquidity, risk diversification, and information services.

Banks attract depositors through trust, reputation, and deposit insurance.

Goldsmiths were considered the earliest bankers.

Economies of scale reduce the average cost of providing financial services.

5 Important MCQs

Q1. The primary role of financial intermediaries is to:

- A) Print currency
- B) Collect taxes
- ☒ C) Connect savers with borrowers
- D) Control inflation

Q2. Which is one of the five major functions of financial intermediaries?

- A) Manufacturing goods
- B) Producing machinery
- ☒ C) Pooling the savings of small savers
- D) Setting government policies

Q3. Who were considered the earliest bankers?

- A) Merchants
- B) Farmers
- ☒ C) Goldsmiths
- D) Kings

Q4. Banks attract depositors mainly through:

- A) Higher taxes

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B)Advertising only

✓C)Reputation and deposit insurance

D)Government borrowing

Q5. Economies of scale mean that:

A)Costs increase as production increases

B)Only large firms earn profits

✓C)Average cost falls as the quantity of services increases

D)Banks stop providing accounting services

Lesson 22 – Role of Financial Intermediaries (Continued) (Summarized Notes)

Providing Liquidity

Liquidity is the ease with which an asset can be converted into cash without losing much value.

Financial intermediaries provide liquidity by allowing customers to access their money quickly through services such as ATMs, debit cards, and lines of credit.

Banks collect funds from many depositors and provide both liquidity and attractive returns at a lower cost.

Lines of credit allow individuals and businesses to borrow pre-approved funds whenever needed.

Diversifying Risk

Financial intermediaries reduce investment risk through diversification.

Instead of investing all money in one investment, funds are spread across many different investments.

Banks collect deposits from thousands of customers and distribute them as many different loans.

This diversification lowers the risk faced by each depositor.

Mutual funds are another example of financial intermediaries that help investors diversify their portfolios.

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Information Services

Financial intermediaries reduce information problems by collecting and analyzing financial information.

They evaluate borrowers before approving loans and monitor them after loans are granted.

These services reduce uncertainty for lenders and improve the efficiency of financial markets.

Information Asymmetry and Information Costs

Information asymmetry exists when one party has more information than the other.

Borrowers usually know more about their financial condition than lenders.

High information costs make lending more difficult and reduce the efficiency of financial markets.

Financial intermediaries reduce these costs by collecting, processing, and verifying information.

Adverse Selection

Adverse selection occurs before a financial transaction takes place.

Lenders cannot easily distinguish between good and bad borrowers.

As a result, good borrowers may leave the market while risky borrowers remain.

This problem can reduce investment and slow economic growth.

Adverse selection can be reduced through government disclosure requirements, private credit information, collateral, and higher net worth.

Collateral is an asset pledged to the lender as security if the borrower fails to repay the loan.

Net worth is the value of assets owned after subtracting liabilities.

Moral Hazard

Moral hazard occurs after a loan or investment has been made.

Borrowers or managers may take greater risks because someone else bears part of the loss.

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In equity finance, this creates the principal-agent problem where managers may not always act in the best interest of shareholders.

In debt finance, borrowers may take excessive risks because they keep additional profits while lenders face losses.

Restrictive loan covenants and legal contracts help reduce moral hazard.

Financial Intermediaries and Information Costs

Direct finance becomes expensive when adverse selection and moral hazard exist.

Financial intermediaries reduce these problems through careful screening of borrowers and continuous monitoring after loans are granted.

Their information services improve lending decisions, reduce risk, and make financial markets more efficient.

Important Exam Points

Liquidity means converting assets into cash quickly and at low cost.

Diversification reduces investment risk by spreading investments.

Information asymmetry exists when borrowers know more than lenders.

Adverse selection occurs before a transaction, while moral hazard occurs after a transaction.

Collateral and loan covenants help reduce financial risk.

5 Important MCQs

Q1. Liquidity refers to:

- A) The profitability of a business
- B) The amount of bank deposits
- ✓C) The ease of converting an asset into cash
- D) The value of company shares

Q2. Adverse selection occurs:

- A) After a loan is granted

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✓B) Before a financial transaction takes place

C) When interest rates increase

D) After dividends are paid

Q3. Moral hazard arises when:

A) Borrowers have no information

B) Lenders refuse to provide loans

✓C) Borrowers take greater risks after receiving funds

D) Stock prices increase rapidly

Q4. Collateral is:

A) The profit earned by a company

B) A type of government tax

✓C) An asset pledged as security for a loan

D) The interest charged on a loan

Q5. Financial intermediaries reduce information costs by:

A) Increasing taxes

B) Printing more money

✓C) Screening and monitoring borrowers

D) Setting stock market prices

Lesson 23 – Banking (Summarized Notes)

Banking

Banking is a combination of financial services that collect savings from people and provide loans to individuals and businesses.

Banks also provide diversification, access to the payment system, accounting, and record-keeping services.

The main objective of banks is to earn profit from these financial services.

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There are three main types of depository institutions: commercial banks, savings institutions, and credit unions.

Types of Banks

Commercial banks accept deposits and provide consumer, commercial, and real estate loans.

Community banks are small local banks that mainly serve individuals and small businesses.

Regional and super-regional banks provide a wide range of consumer, residential, commercial, and industrial loans.

Money center banks rely heavily on borrowing from financial markets for their funds.

Savings institutions mainly serve households by accepting savings deposits and providing mortgage loans.

Credit unions are nonprofit financial institutions owned by members who share a common bond and mainly provide small consumer loans.

Balance Sheet of Commercial Banks

A bank's balance sheet shows its financial position by listing assets, liabilities, and capital.

The basic balance sheet identity is:

$$\text{Total Bank Assets} = \text{Total Bank Liabilities} + \text{Bank Capital}$$

Banks receive funds through customer deposits and borrowing from other financial institutions.

These funds are used to make loans, purchase securities, and maintain cash reserves.

The difference between total assets and total liabilities is called bank capital or net worth.

Banks earn profits through service charges and the difference between interest earned on loans and interest paid on deposits.

Bank Assets (Uses of Funds)

Bank assets represent how banks use their available funds.

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Cash items include reserves held in the bank vault and deposits kept at the central bank.

Banks also hold cash items in the process of collection and balances with other banks.

Because cash earns little or no interest, banks try to keep only the amount needed for daily operations.

Securities include Treasury bills, government bonds, corporate bonds, and stocks.

Securities are called secondary reserves because they can quickly be converted into cash.

Loans are the largest and most important assets of commercial banks.

Banks provide business loans, real estate loans, consumer loans, interbank loans, and loans for purchasing securities.

Different financial institutions specialize in different types of loans according to their purpose.

Bank Liabilities

Bank liabilities are the sources from which banks obtain their funds.

The main liabilities include customer deposits, borrowings from financial institutions, bills payable, and other financial obligations.

Deposits are the largest source of funds for most commercial banks.

Important Exam Points

Banking involves accepting deposits and providing loans to earn profits.

The three main types of depository institutions are commercial banks, savings institutions, and credit unions.

The balance sheet identity is **Assets = Liabilities + Bank Capital**.

Loans are the primary assets of commercial banks.

Securities are known as secondary reserves because they are highly liquid.

5 Important MCQs

Q1. The main purpose of banking is to:

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- A) Print currency
- B) Collect taxes
- ✓C) Accept deposits and provide loans
- D) Control inflation

Q2. Which of the following is a nonprofit depository institution?

- A) Commercial Bank
- B) Savings Institution
- ✓C) Credit Union
- D) Money Center Bank

Q3. The balance sheet identity of a commercial bank is:

- A) $\text{Assets} = \text{Capital} - \text{Liabilities}$
- B) $\text{Assets} = \text{Deposits} + \text{Loans}$
- ✓C) $\text{Assets} = \text{Liabilities} + \text{Bank Capital}$
- D) $\text{Liabilities} = \text{Assets} + \text{Deposits}$

Q4. Which is the primary asset of a commercial bank?

- A) Cash
- B) Government Bonds
- ✓C) Loans
- D) Share Capital

Q5. Why are securities called secondary reserves?

- A) They pay the highest interest
- B) They are issued by the government only
- ✓C) They are highly liquid and can be sold quickly for cash
- D) They cannot be traded

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Lesson 24 – Balance Sheet of Commercial Banks (Summarized Notes)

Liabilities: Sources of Funds

Bank liabilities are the main sources from which banks obtain funds for lending and investing.

The major sources of funds are checkable deposits, non-transaction deposits, and borrowings.

Checkable Deposits

Checkable deposits are accounts that allow customers to withdraw money using cheques, debit cards, or electronic transfers.

Commercial banks offer several types of checking accounts.

These deposits have declined over time because they usually pay low interest rates.

Non-Transaction Deposits

Non-transaction deposits mainly include savings accounts and time deposits.

They represent the largest portion of commercial bank liabilities.

A Certificate of Deposit (CD) is a time deposit in which customers keep money in the bank for a fixed period in return for interest.

Large Certificates of Deposit can be bought and sold in financial markets.

Borrowings

Banks also obtain funds by borrowing from the central bank through discount loans.

They can borrow from other banks in the interbank money market.

Banks also use repurchase agreements (repos), where securities are temporarily sold for cash with an agreement to repurchase them later at a slightly higher price.

Repos provide short-term funding and are secured by collateral.

Bank Capital and Profitability

Bank capital is the net worth of a bank and represents the owners' investment.

It acts as a financial cushion against unexpected losses and withdrawals.

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Loan loss reserves are funds set aside to cover losses from borrowers who fail to repay loans.

The Return on Assets (ROA) measures how efficiently a bank uses its assets to generate profits.

The Return on Equity (ROE) measures the return earned by the bank's owners.

Banks with higher leverage usually have higher ROE because they use more borrowed funds.

Net Interest Income is the difference between the interest earned on assets and the interest paid on liabilities.

Net Interest Margin measures net interest income as a percentage of total assets.

A higher net interest margin generally indicates better profitability.

Off-Balance-Sheet Activities

Banks perform off-balance-sheet activities to earn additional fee income.

One common activity is providing lines of credit to trusted customers.

Banks also issue letters of credit that guarantee payment on behalf of customers in business transactions.

A standby letter of credit acts as insurance by guaranteeing repayment if the borrower defaults.

Although these activities increase income, they also create additional financial risk for banks.

Important Exam Points

The main bank liabilities are checkable deposits, non-transaction deposits, and borrowings.

A Certificate of Deposit (CD) is a type of time deposit.

ROA measures profit earned from total assets, while ROE measures profit earned for owners.

Net Interest Income equals interest earned minus interest paid.

Letters of credit and standby letters of credit are important off-balance-sheet activities.

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5 Important MCQs

Q1. Which of the following is a non-transaction deposit?

- A) Checking Account
- B) Current Account
- ✓C) Certificate of Deposit (CD)
- D) Demand Deposit Only

Q2. Bank capital represents:

- A) Customer deposits
- B) Bank borrowings
- ✓C) The owners' net worth in the bank
- D) Government reserves

Q3. Return on Assets (ROA) measures:

- A) The amount of customer deposits
- B) The bank's borrowing capacity
- ✓C) How efficiently a bank uses its assets to earn profits
- D) The value of bank shares

Q4. A repurchase agreement (Repo) is:

- A) A long-term mortgage loan
- B) A type of savings account
- ✓C) A short-term collateralized loan
- D) A consumer loan

Q5. A standby letter of credit is mainly used to:

- A) Increase customer deposits
- B) Issue government bonds

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✓C) Guarantee payment if the borrower defaults

D) Reduce bank taxes

Lesson 25 – Bank Risk (Summarized Notes)

Bank Risk

Banking is a risky business because banks are highly leveraged and use borrowed funds to provide loans and make investments.

The main objective of a bank is to earn more interest on loans and investments than it pays on deposits and borrowings.

Banks face several types of risks, including liquidity risk, credit risk, interest rate risk, trading risk, and other operational risks.

Liquidity Risk

Liquidity risk is the risk that a bank will not have enough cash to meet customers' withdrawal requests or other payment obligations.

Liquidity problems can arise from both deposits being withdrawn and off-balance-sheet commitments.

A bank with positive net worth can still fail if it cannot provide cash when customers demand it.

Banks manage liquidity risk by holding excess reserves, although this reduces profitability because idle cash earns little or no interest.

Banks can also manage liquidity by selling securities, reducing loans, borrowing from other banks or the central bank, or attracting more deposits through large Certificates of Deposit (CDs).

Banks generally prefer liability management because selling assets reduces the size of the bank.

Credit Risk

Credit risk is the possibility that borrowers will fail to repay their loans.

Banks reduce credit risk by diversifying loans across different borrowers and industries.

They carefully screen loan applicants before approving loans.

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Banks also monitor borrowers after loans are granted to ensure proper use of funds.

Collateral, higher borrower net worth, and long-term customer relationships further reduce credit risk.

Interest Rate Risk

Interest rate risk occurs because bank assets and liabilities often have different maturities.

Most bank assets are long-term, while many liabilities such as deposits are short-term.

Changes in market interest rates may affect the value of assets and liabilities differently.

If interest rates rise and interest-sensitive liabilities exceed interest-sensitive assets, bank profits decline.

Banks use gap analysis to measure the difference between interest-sensitive assets and liabilities and manage this risk.

Important Exam Points

Banking is risky because banks are highly leveraged.

Liquidity risk arises when banks cannot meet withdrawal demands.

Credit risk is the risk that borrowers will fail to repay loans.

Interest rate risk occurs because assets and liabilities have different maturities.

Gap analysis measures the difference between interest-sensitive assets and liabilities.

5 Important MCQs

Q1. Liquidity risk refers to the risk that a bank:

- A) Cannot earn enough profit
- B) Loses all its customers
- ✓ C) Cannot meet customers' withdrawal requests
- D) Pays too much tax

Q2. Credit risk is the risk that:

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- A) Interest rates will rise
- B) Banks will lose deposits
- ✓C) Borrowers will fail to repay their loans
- D) Stock prices will fall

Q3. Which method helps banks reduce credit risk?

- A) Increasing taxes
- B) Printing more money
- ✓C) Screening loan applicants and monitoring borrowers
- D) Reducing customer deposits

Q4. Interest rate risk mainly occurs because:

- A) Banks have too many customers
- B) Banks only provide short-term loans
- ✓C) Assets and liabilities have different maturities
- D) Banks do not hold reserves

Q5. Gap analysis is used to measure:

- A) The difference between assets and capital
- B) The amount of customer deposits
- ✓C) The difference between interest-sensitive assets and liabilities
- D) The number of bank branches

Lesson 26 – Interest Rate Risk and Globalization of Banking (Summarized Notes)

Interest Rate Risk

Interest rate risk arises when changes in market interest rates affect a bank's profits and financial position.

Gap analysis measures the difference between interest-sensitive assets and interest-sensitive liabilities.

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The change in a bank's profit can be estimated by multiplying the interest rate gap by the expected change in interest rates.

Banks can improve gap analysis by considering differences in the maturity of assets and liabilities.

Banks reduce interest rate risk by matching the interest-rate sensitivity of assets with that of liabilities.

They also invest in short-term securities to match variable-rate deposits and offer long-term loans with floating interest rates.

However, using floating-rate loans may increase credit risk.

Trading Risk

Trading risk, also called market risk, arises when banks buy and sell securities, loans, and derivatives to earn profits.

If market prices move unfavorably, banks may suffer losses.

Banks control trading risk by setting limits on the amount of risk individual traders can take.

Banks with riskier investment portfolios are required to hold more capital.

Other Risks

Banks operating internationally face foreign exchange risk caused by changes in currency exchange rates.

They also face sovereign risk when governments prevent borrowers from repaying foreign loans.

Banks manage foreign exchange risk by matching deposits and loans in the same currency and by using futures and swap contracts.

Sovereign risk is reduced through diversification, avoiding risky countries, and using financial derivatives.

Banks also face operational risk due to system failures, cyber problems, natural disasters, or damage to buildings.

Operational risk is managed by maintaining secure computer systems and disaster recovery plans.

Globalization of Banking

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International trade has increased the demand for international banking services.

Banks expand internationally by opening foreign branches, establishing International Banking Facilities (IBFs), creating Edge Act subsidiaries, or purchasing foreign banks.

Global banking has increased competition and improved the efficiency of financial markets.

Borrowers and depositors can now obtain financial services from banks around the world.

The Eurodollar market is one of the world's largest international financial markets for U.S. dollar deposits held outside the United States.

The London Interbank Offered Rate (LIBOR) became an important international benchmark for many private loans.

The Future of Banks

Modern banks are larger, fewer in number, and operate internationally while offering a wider range of financial services.

Financial holding companies combine banking, insurance, and securities businesses under one organization.

These firms benefit from diversification, economies of scale, and economies of scope.

Many financial services are now provided by specialized firms such as money market mutual funds, mortgage brokers, leasing companies, and discount brokers.

Technological advancements have made financial services more efficient and increased competition in the financial industry.

Important Exam Points

Gap analysis measures the difference between interest-sensitive assets and liabilities.

Trading risk results from buying and selling financial securities and derivatives.

Foreign exchange risk is caused by changes in currency exchange rates.

The Eurodollar market deals with U.S. dollar deposits held outside the United States.

Financial holding companies combine banking, insurance, and securities services.

5 Important MCQs

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Q1. Gap analysis is mainly used to measure:

- A) Customer deposits
- B) Bank capital
- ✓C) The difference between interest-sensitive assets and liabilities
- D) Foreign exchange rates

Q2. Trading risk is also known as:

- A) Liquidity Risk
- B) Credit Risk
- ✓C) Market Risk
- D) Operational Risk

Q3. Foreign exchange risk arises because of changes in:

- A) Government taxes
- B) Loan repayments
- ✓C) Currency exchange rates
- D) Bank reserves

Q4. The Eurodollar market deals with:

- A) Gold trading
- B) European government bonds
- ✓C) U.S. dollar deposits held outside the United States
- D) Stock market investments

Q5. Financial holding companies provide:

- A) Only banking services
- B) Only insurance services
- ✓C) Banking, insurance, and securities services

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

D)Only mortgage loans

Lesson 27 – Non-Depository Institutions (Summarized Notes)

Non-Depository Institutions

Non-depository institutions are financial institutions that do not accept customer deposits like banks.

They provide financial services such as insurance, investment, lending, and securities trading.

The main types of non-depository institutions are insurance companies, securities firms, finance companies, and government-sponsored enterprises.

Insurance Companies

Insurance companies protect individuals and businesses against financial losses.

They collect premiums from policyholders and promise compensation if a specified event occurs.

Insurance transfers risk from individuals to insurance companies.

Insurance companies pool premiums from many customers and invest the funds to earn profits.

They also diversify risk across a large number of policyholders and reduce information problems through careful screening.

The underwriting process is the evaluation of risk before issuing an insurance policy.

Risk experts assess applicants and determine the premium according to the level of risk.

Types of Insurance Companies

Life insurance provides financial benefits to beneficiaries after the death of the insured person.

Term life insurance pays a fixed amount only if the insured dies during the policy period.

Group insurance is usually provided through employers.

Whole life insurance combines life insurance with savings.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

The policyholder pays fixed premiums throughout life and receives insurance protection along with a cash value that can be refunded if the policy is discontinued.

Property and casualty insurance protects against damage to property and accidents.

Auto insurance combines property insurance for the vehicle and casualty insurance for the driver.

Insurance companies mainly invest their funds in bonds, stocks, and short-term money market securities.

Role of Insurance Companies

Insurance companies pool risks to make future payments more predictable.

They reduce adverse selection by carefully screening applicants through medical examinations, driving records, and other evaluations.

They reduce moral hazard by including conditions and safety requirements in insurance contracts.

Future developments in medical technology and genetic testing may affect how insurance companies assess risks.

Securities Firms

Securities firms are financial intermediaries involved in buying, selling, and managing financial securities.

The main types are brokerage firms, investment banks, and mutual fund companies.

Brokerage firms provide access to stock and bond markets and maintain customer investment accounts.

They also offer margin loans, allowing customers to borrow money to purchase securities.

Brokerage firms improve liquidity by helping investors quickly buy and sell financial assets.

Investment banks specialize in raising capital for businesses and governments by issuing stocks and bonds.

Securities firms also collect and analyze financial information to assist investors in making informed decisions.

Important Exam Points

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Non-depository institutions do not accept customer deposits.

Insurance companies collect premiums in exchange for protection against financial losses.

The underwriting process involves evaluating risk before issuing insurance policies.

Whole life insurance combines insurance protection with savings.

Brokerage firms provide access to financial markets and margin loans.

5 Important MCQs

Q1. Non-depository institutions differ from banks because they:

- A) Issue currency
- B) Accept checking deposits
- ✓C) Do not accept customer deposits
- D) Control interest rates

Q2. The underwriting process refers to:

- A) Collecting customer deposits
- B) Paying taxes
- ✓C) Assessing risk before issuing an insurance policy
- D) Selling company shares

Q3. Whole life insurance combines:

- A) Property insurance and auto insurance
- B) Health insurance and pensions
- ✓C) Life insurance and a savings account
- D) Fire insurance and travel insurance

Q4. Brokerage firms mainly provide:

- A) Mortgage financing

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

B)Insurance policies

✓C)Access to financial markets and investment accounts

D)Foreign currency printing

Q5. Insurance companies reduce adverse selection by:

A)Increasing premiums for everyone

B)Investing only in stocks

✓C)Carefully screening applicants before issuing policies

D)Providing loans to customers

Lesson 28 – Non-Depository Institutions (Continued) (Summarized Notes)

Securities Firms

Investment banks help firms raise funds in capital markets by issuing new stocks and debt securities.

Through underwriting, investment banks guarantee the price of new securities and then sell them to investors at a higher price.

Underwriting involves risk because the securities may not sell at a price higher than the guaranteed price.

Investment banks collect financial information to determine the value of new securities.

Their reputation is important because investors rely on their judgment and pricing.

Investment banks also advise companies on mergers and acquisitions and earn fees for these services.

Finance Companies

Finance companies raise funds by issuing commercial paper, bonds, and other securities.

They use these funds to provide loans to individuals and businesses.

Finance companies reduce transaction costs and information costs in lending.

Most finance companies specialize in consumer loans, business loans, or sales loans.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Sales loans help customers purchase expensive items such as household appliances.

Some finance companies also provide commercial and home mortgage loans.

Business finance companies offer equipment leasing, inventory loans, and accounts receivable loans to improve business liquidity.

Government-Sponsored Enterprises

Government-sponsored enterprises (GSEs) are financial institutions created or supported by the government to provide financing in specific sectors.

They improve access to credit for borrowers who may not easily obtain loans from commercial banks.

Examples include Zarai Taraqati Bank Limited (ZTBL), SME Bank, House Building Finance Corporation (HBFC), and Khushhali Bank.

These institutions mainly provide farm loans, housing finance, and loans for small businesses.

Banking Crisis

A banking crisis occurs when banks experience serious financial problems that threaten their ability to operate.

Banking crises have occurred throughout history because financial systems are naturally fragile.

Large banking crises can impose very high economic costs and reduce economic growth.

Sources of Runs, Panics, and Crises

Banks are vulnerable because they promise depositors immediate access to their money.

If depositors believe a bank may fail, they rush to withdraw their money, creating a bank run.

A bank run can cause even a financially healthy bank to fail if it lacks sufficient liquidity.

Solvency means the value of a bank's assets exceeds its liabilities.

Liquidity means the bank has enough cash to meet withdrawal demands.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

False rumors about insolvency can create panic and cause unnecessary bank failures.

The failure of one bank may spread fear to other banks, creating contagion throughout the financial system.

Economic recessions increase loan defaults, reduce bank capital, decrease lending, and raise the likelihood of banking crises.

Deflation also weakens borrowers' financial position and increases the risk of financial instability.

Important Exam Points

Investment banks raise funds through underwriting securities.

Finance companies mainly provide consumer, business, and sales loans.

Government-sponsored enterprises provide financing for special sectors such as agriculture and housing.

A bank run occurs when many depositors withdraw money at the same time.

Solvency means assets exceed liabilities, while liquidity means having enough cash to meet withdrawals.

5 Important MCQs

Q1. Investment banks mainly help firms by:

- A) Accepting customer deposits
- B) Providing insurance
- ✓C) Raising funds through underwriting securities
- D) Printing currency

Q2. Finance companies mainly raise funds by:

- A) Collecting deposits
- B) Issuing cheques
- ✓C) Issuing commercial paper and securities
- D) Collecting taxes

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Q3. A bank run occurs when:

- A) Banks increase interest rates
- B) Banks stop making loans
- ☒ C) Many depositors withdraw their money at the same time
- D) Banks issue new shares

Q4. Liquidity means that a bank has:

- A) High profits
- B) More assets than liabilities
- ☒ C) Enough cash to meet withdrawal demands
- D) A large number of customers

Q5. Which of the following is a Government-Sponsored Enterprise in Pakistan?

- A) Commercial Bank
- B) Credit Union
- ☒ C) House Building Finance Corporation (HBFC)
- D) Investment Bank

Lesson 29 – The Government Safety Net (Summarized Notes)

Why Does the Government Intervene in the Financial System?

The government intervenes in the financial system for three main reasons.

It protects investors from fraud and mismanagement.

It protects bank customers from monopolistic exploitation by preventing excessive market power.

It ensures the stability of the financial system because financial institutions are vulnerable to liquidity problems and information asymmetry.

The government achieves these goals by providing a financial safety net and acting as the lender of last resort.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Investor Protection

Small investors often cannot judge whether a financial institution is financially sound.

Government laws and regulations protect investors from fraud, mismanagement, and unsafe banking practices.

This increases public confidence in financial institutions.

Protection from Monopolistic Exploitation

Large financial institutions may exploit customers by charging excessive prices or limiting competition.

Government regulations prevent banks from becoming too powerful and encourage fair competition.

Stability of the Financial System

Banks can quickly lose value because of liquidity problems or information asymmetry.

The failure of one financial institution may spread to others and threaten the entire financial system.

To reduce this risk, governments provide deposit protection and emergency financial support.

The Unique Role of Depository Institutions

Banks receive special attention from regulators because they play a vital role in the economy.

They provide access to the payments system and accept deposits that customers can withdraw at any time.

Banks hold illiquid assets while promising immediate withdrawals, making them vulnerable to bank runs.

Banks are also interconnected, so the failure of one bank can affect many others.

Government as Lender of Last Resort

The central bank acts as the lender of last resort.

It provides emergency loans to solvent banks experiencing temporary liquidity shortages.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

This helps prevent bank runs and reduces financial panic.

The central bank must distinguish between an illiquid bank, which has temporary cash problems, and an insolvent bank, whose liabilities exceed its assets.

Only solvent but illiquid banks should receive emergency assistance.

Problems Created by the Government Safety Net

Deposit protection can create moral hazard.

When depositors know their money is protected, they have less incentive to monitor banks.

Banks may therefore take greater risks.

Another problem is the **Too Big to Fail** policy.

Very large banks may expect government bailouts because their failure could seriously damage the financial system.

This expectation encourages excessive risk-taking.

Regulation and Supervision of the Financial System

Governments control banking through regulation, supervision, and examination.

Regulation establishes rules that banks must follow.

Supervision ensures banks comply with these rules.

Examination involves detailed inspections of bank operations and financial condition.

These measures reduce the likelihood and cost of bank failures.

Asset Holding Restrictions and Minimum Capital Requirements

Governments restrict the types of assets banks may hold and limit the size of loans made to individual borrowers.

Banks must also maintain minimum capital.

Capital acts as a financial cushion against unexpected losses.

Capital requirements may be based on total assets or the level of risk in a bank's operations.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Supervision and Examination

Bank supervisors monitor institutions through off-site reports and on-site inspections.

Large banks may undergo continuous examination.

Supervisors carefully evaluate overdue loans and the overall financial condition of banks.

The health of a bank is measured using the CAMELS rating system.

CAMELS stands for Capital Adequacy, Asset Quality, Management, Earnings, Liquidity, and Sensitivity to Risk.

Modern bank examiners also advise banks on improving profitability while maintaining acceptable risk levels.

Important Exam Points

Government intervenes to protect investors, prevent monopolies, and maintain financial stability.

The central bank serves as the lender of last resort.

Deposit insurance may create moral hazard.

Banks that are too big to fail may receive government support during crises.

Bank supervisors evaluate banks using the CAMELS rating system.

5 Important MCQs

Q1. The main purpose of the government's financial safety net is to:

- A) Increase bank profits
- B) Reduce taxes
- ✓C) Protect the financial system and depositors
- D) Increase stock prices

Q2. The lender of last resort is usually the:

- A) Commercial Bank

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

☒ B) Central Bank

C) Insurance Company

D) Investment Bank

Q3. Moral hazard occurs because:

A) Banks pay higher interest

☒ B) Depositors feel protected and banks may take greater risks

C) Banks reduce lending

D) Banks increase reserves

Q4. CAMELS is used to:

A) Calculate inflation

B) Measure GDP

☒ C) Evaluate the financial health of banks

D) Determine exchange rates

Q5. Capital requirements mainly help banks by:

A) Increasing customer deposits

B) Reducing taxes

☒ C) Providing a cushion against unexpected losses

D) Increasing stock prices

Lesson 30 – The Government's Bank (Summarized Notes)

The Government's Bank

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

The central bank was originally created to serve as the government's bank, mainly to finance wars.

Modern central banking became widespread during the 20th century.

The central bank has the exclusive authority to issue currency (print money).

It controls the supply of money and credit in the economy.

The central bank mainly influences the economy through **monetary policy**, which involves changing short-term interest rates.

An **expansionary (accommodative) monetary policy** lowers interest rates, increases economic growth, and raises inflation.

A **restrictive (tight) monetary policy** raises interest rates, slows economic growth, and reduces inflation.

Governments maintain control over money creation because excessive money printing can lead to inflation.

The Bankers' Bank

The central bank acts as the **bank for commercial banks**.

Its major responsibilities include providing emergency loans during financial crises as the **lender of last resort**.

It manages the country's payment system by settling payments between banks.

The central bank supervises commercial banks and promotes the stability of the financial system.

By supporting financially sound banks during difficult times, it helps prevent banking crises.

Although the central bank is highly influential, it **does not control** securities markets or the government's budget.

The government normally keeps its accounts with the central bank, just as individuals keep accounts with commercial banks.

Stability: The Primary Objective of Central Banks

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

The main purpose of every central bank is to maintain **economic and financial stability**.

Without central bank intervention, economies are more likely to experience severe fluctuations.

Central banks generally pursue five major objectives:

Low and stable inflation.

High and stable economic growth with high employment.

Stable financial markets.

Stable interest rates.

Stable exchange rates.

These objectives reduce **systematic risk**, which cannot be eliminated through diversification.

Since all objectives cannot always be achieved simultaneously, central banks often face policy trade-offs.

Low and Stable Inflation

Most central banks consider **price stability** their primary objective.

Keeping inflation low preserves the purchasing power of money.

Stable prices improve money's role as a **unit of account** and a **store of value**.

High inflation reduces the usefulness of prices as signals for consumers and businesses, making economic decisions more difficult.

Price stability supports long-term economic growth and improves overall economic welfare.

Important Exam Points

The central bank has the monopoly on issuing currency.

Monetary policy works mainly by changing short-term interest rates.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Expansionary monetary policy lowers interest rates and stimulates growth.

Restrictive monetary policy raises interest rates to control inflation.

The central bank acts as the lender of last resort during financial crises.

The five main objectives of central banks are inflation stability, economic growth, employment, financial market stability, interest rate stability, and exchange rate stability.

Low inflation preserves the purchasing power of money and improves economic efficiency.

5 Important MCQs

Q1. The central bank has the exclusive authority to:

- A) Collect taxes
- B) Issue government bonds
- ✓C) Issue currency
- D) Approve the national budget

Q2. Expansionary monetary policy generally:

- A) Raises interest rates
- ✓B) Lowers interest rates to stimulate growth
- C) Reduces money supply only
- D) Increases taxes

Q3. Which of the following is a major responsibility of the central bank?

- A) Manufacturing goods
- B) Collecting income tax

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

✓C) Acting as the lender of last resort

D) Setting stock prices

Q4. Which is considered the primary objective of most central banks?

A) Maximizing exports

B) Increasing government spending

✓C) Maintaining low and stable inflation

D) Increasing company profits

Q5. Which of the following is NOT directly controlled by the central bank?

A) Money supply

B) Payment system

C) Commercial bank supervision

✓D) Government budget

Lesson 31 – Low, Stable Inflation (Summarized Notes)

Low, Stable Inflation

Most central banks consider **price stability** their primary objective.

They aim to keep inflation low because stable prices preserve the purchasing power of money.

When inflation is low, money performs its functions as a **unit of account** and **store of value** more effectively.

High inflation makes prices unpredictable and reduces their usefulness in guiding economic decisions.

Inflation also creates **systematic risk** and discourages long-term investment and economic growth.

Although low inflation is desirable, **zero inflation** is not considered ideal.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Zero inflation increases the risk of **deflation** (a general fall in prices), which can increase loan defaults and weaken banks.

With zero inflation, employers must reduce workers' nominal wages to lower labor costs, which is often difficult.

A small positive rate of inflation allows labor markets to adjust more easily.

High, Stable Real Growth

Central banks try to reduce fluctuations in the business cycle.

Their goal is to maintain **stable economic growth and high employment**.

During recessions, central banks lower interest rates to encourage borrowing, spending, and investment.

During periods of excessive economic growth, they may increase interest rates to control inflation and prevent the economy from overheating.

Stable and predictable growth is better than rapid but unstable growth.

Financial System Stability

A stable financial system is essential for a healthy economy.

Central banks monitor financial institutions to reduce the risk of financial crises.

Financial instability can disrupt lending, investment, and economic activity.

Maintaining confidence in the banking system is one of the central bank's key responsibilities.

Interest Rate and Exchange Rate Stability

Stable interest rates help businesses and individuals make borrowing and investment decisions with greater confidence.

Frequent changes in interest rates increase uncertainty and financial risk.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Interest rate volatility also increases the **risk premium**, making borrowing more expensive.

Exchange rate stability helps businesses predict the cost of imports and the value of exports.

Developing countries give greater importance to stable exchange rates because international trade plays a major role in their economies.

Interest rate stability and exchange rate stability are tools used to achieve overall economic stability rather than final goals themselves.

Objectives of a Modern Central Bank

The main objectives of a modern central bank are **low and stable inflation, high and stable economic growth, financial system stability, stable interest rates, and stable exchange rates**.

These objectives work together to promote sustainable economic development and reduce overall economic risk.

Meeting the Challenge: Creating a Successful Central Bank

Modern central banks are designed to operate more effectively than in the past.

A successful central bank should be **independent from political pressure** so that decisions are based on economic conditions instead of politics.

It should be **accountable to the public** for its actions and policy decisions.

It should remain **transparent** by openly explaining its monetary policies.

It should also communicate clearly with financial markets and the public so that everyone understands its objectives and future policy direction.

These qualities increase the credibility and effectiveness of monetary policy.

Important Exam Points

Price stability is the primary objective of most central banks.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Low inflation preserves the purchasing power of money.

Zero inflation is not ideal because it may lead to deflation.

Central banks stabilize the business cycle mainly by adjusting interest rates.

Financial system stability is essential for efficient economic performance.

Stable interest rates and exchange rates reduce uncertainty in the economy.

A successful central bank should be independent, accountable, transparent, and communicate clearly.

5 Important MCQs

Q1. The primary objective of most central banks is to maintain:

- A) High taxes
- B) Low unemployment only
- ✓C) Low and stable inflation
- D) High government spending

Q2. Why is zero inflation generally not considered ideal?

- A) It increases exports
- ✓B) It may lead to deflation
- C) It raises interest rates
- D) It increases government revenue

Q3. During a recession, the central bank usually:

- A) Raises interest rates
- B) Increases taxes
- ✓C) Lowers interest rates to stimulate the economy
- D) Reduces bank deposits

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Q4. Stable interest rates are important because they:

- A) Eliminate taxes
- B) Increase inflation
- ✓C) Reduce uncertainty for borrowers and lenders
- D) Increase exchange rates

Q5. Which characteristic is essential for a successful central bank?

- A) Political control
- B) Secrecy in policymaking
- ✓C) Independence from political pressure
- D) Unlimited money printing

Lesson 32 – Meeting the Challenge: Creating a Successful Central Bank (Summarized Notes)

Meeting the Challenge: Creating a Successful Central Bank

Modern central banks have become more effective because policymakers gained a better understanding of economic growth and inflation.

As sustainable economic growth increased, central banks were able to keep interest rates low without creating excessive inflation.

Today, there is broad agreement on how a successful central bank should be designed.

A successful central bank should be **independent from political pressure**, **accountable to the public**, **transparent in its policies**, and **clear in its communication** with financial markets and the public.

There is also general agreement that important monetary policy decisions should be made by a **committee** instead of a single individual.

A clearly defined policy framework helps policymakers understand their objectives and the trade-offs between them.

The Need for Independence

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Central banks were originally created to serve governments, but modern central banking requires independence from political influence.

Central bank independence has two important aspects.

The first is **financial independence**, meaning the central bank controls its own budget.

The second is **policy independence**, meaning its monetary policy decisions cannot easily be reversed by politicians.

Monetary policy requires a long-term perspective, while politicians often focus on short-term economic gains.

Politicians may prefer low interest rates and rapid money growth to increase employment before elections, even if this creates inflation later.

To reduce political pressure, governments give central bank officials long terms of office and authority to make independent decisions.

Decision-Making by Committee

Monetary policy decisions are generally better when made by a committee rather than a single person.

Committees combine the knowledge, experience, and opinions of several experts.

This reduces the chance that personal bias or poor judgment by one individual will influence national monetary policy.

Committee decision-making is also more consistent with democratic principles.

The Need for Accountability and Transparency

Although central banks are independent, they must remain accountable to the public.

Governments set policy goals and require central banks to explain how they are achieving them.

Clear objectives improve accountability, while openness about decisions increases transparency.

Some countries set an official inflation target through the government, while others allow the central bank to determine its own target.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Modern central banks recognize that secrecy reduces public confidence.

Clear communication improves the effectiveness and credibility of monetary policy.

The Policy Framework, Policy Trade-Offs, and Credibility

A monetary policy framework combines the objectives of the central bank with the principles of independence, accountability, transparency, and effective communication.

This framework helps central bankers resolve conflicts between different policy objectives.

One of the most common trade-offs is between controlling inflation and promoting economic growth.

A well-designed policy framework also builds the central bank's credibility, making its policies more effective.

Central Banks and Fiscal Policy

Fiscal policy refers to government decisions about **taxation and public spending**.

The central bank is **not responsible** for preparing the government's budget.

Although fiscal policy and monetary policy both aim to improve economic welfare, conflicts may arise between them.

Governments often finance spending by borrowing instead of raising taxes.

Excessive borrowing may eventually encourage governments to create inflation as a way of reducing the real value of debt.

Responsible fiscal policy is therefore essential for successful monetary policy.

The Central Bank's Balance Sheet

Like commercial banks, central banks maintain a balance sheet consisting of assets and liabilities.

Publishing the balance sheet regularly promotes transparency.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

The major assets of a central bank are **securities, foreign exchange reserves, and loans.**

Securities are the central bank's primary assets and are used to influence the money supply.

Foreign exchange reserves consist mainly of foreign government securities and are used to stabilize exchange rates.

Loans are provided to commercial banks, mainly through **discount loans** and **float** created during cheque clearing.

Gold reserves still exist but play only a minor role in modern central banking.

The major liabilities of a central bank are **currency in circulation, the government's deposit account, and commercial bank reserves.**

Currency represents the largest share of central bank liabilities.

The government keeps its deposits with the central bank for receiving taxes and making payments.

Commercial bank reserves consist of banks' deposits at the central bank and are used to implement monetary policy.

Important Exam Points

A successful central bank should be independent, accountable, transparent, and communicate clearly.

Monetary policy decisions are generally made by committees rather than individuals.

Political pressure often encourages short-term policies that increase inflation.

Fiscal policy deals with taxation and government spending, while monetary policy is managed by the central bank.

The main assets of the central bank are securities, foreign exchange reserves, and loans.

The main liabilities are currency, government deposits, and commercial bank reserves.

5 Important MCQs

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Q1. Which characteristic is essential for a successful central bank?

- A) Political control
 - B) Secrecy in policymaking
 - ✓C) Independence from political pressure
 - D) Unlimited government borrowing
-

Q2. Why are monetary policy decisions usually made by committees?

- A) To reduce government spending
 - B) To increase taxes
 - ✓C) To combine the knowledge and experience of several experts
 - D) To issue more currency
-

Q3. Fiscal policy mainly deals with:

- A) Money supply
 - B) Interest rates
 - ✓C) Government taxation and spending
 - D) Foreign exchange reserves
-

Q4. Which of the following is a major asset of the central bank?

- A) Customer deposits
 - B) Insurance policies
 - ✓C) Government securities
 - D) Corporate shares
-

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Q5. Which liability forms the largest portion of a central bank's balance sheet?

- A) Commercial loans
- B) Gold reserves
- ✓C) Currency in circulation
- D) Buildings and equipment

Lesson 33 – The Monetary Base (Summarized Notes)

The Monetary Base

The monetary base, also called **high-powered money**, consists of **currency held by the public** and **bank reserves**.

Bank reserves are made up of **vault cash** and **deposits held at the central bank**.

The central bank controls the size of the monetary base and, therefore, influences the money supply in the economy.

Changing the Size and Composition of the Balance Sheet

The central bank has complete control over the size of its balance sheet.

It can increase or decrease its assets and liabilities whenever necessary.

The central bank creates money by purchasing assets such as government bonds and paying for them by creating new liabilities.

Four major transactions affect the balance sheets of the central bank and the banking system.

These transactions are **open market operations**, **foreign exchange intervention**, **discount loans**, and **cash withdrawals by the public**.

Open market operations, foreign exchange interventions, and discount loans increase or decrease the size of the central bank's balance sheet and the monetary base.

Cash withdrawals only change the composition of the monetary base by shifting funds between reserves and currency without changing its total size.

A basic accounting rule applies to every transaction: when one asset increases, either another asset decreases or a liability increases by the same amount.

Open Market Operations (OMO)

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Open market operations occur when the central bank buys or sells government securities in financial markets.

When the central bank purchases government securities, its assets increase because it now owns more securities.

Its liabilities also increase because it credits commercial banks with additional reserves.

As a result, the monetary base expands.

For the banking system, reserves increase while securities decrease by the same amount, leaving total assets unchanged.

When the central bank sells securities, the opposite happens: reserves decrease and the monetary base contracts.

Foreign Exchange Intervention

Foreign exchange intervention occurs when the central bank buys or sells foreign currency assets such as foreign government bonds.

When the central bank purchases foreign government bonds, its foreign exchange reserves increase.

Commercial bank reserves also increase, causing the monetary base to expand.

The effect is similar to an open market purchase, except that foreign assets are involved instead of domestic government securities.

Discount Loans

Discount loans are short-term loans provided by the central bank to commercial banks.

Commercial banks request these loans when they need additional funds and must usually provide government securities as collateral.

When the central bank grants a discount loan, both its assets (discount loans) and liabilities (bank reserves) increase.

Commercial banks receive additional reserves while their liabilities increase because they owe the loan to the central bank.

Discount loans therefore increase bank reserves and expand the monetary base.

Cash Withdrawals

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

When people withdraw cash from their bank accounts, the total monetary base remains unchanged.

Only its composition changes.

Bank reserves decrease because cash leaves the banking system.

Currency held by the public increases by the same amount.

For commercial banks, reserves and checkable deposits both decrease.

Thus, cash withdrawals transfer money from reserves to currency without changing the overall monetary base.

Summary of Effects on the Monetary Base

Open market purchases increase reserves and expand the monetary base.

Foreign exchange purchases also increase reserves and expand the monetary base.

Discount loans increase bank reserves and expand the monetary base.

Cash withdrawals reduce reserves but increase currency held by the public, leaving the monetary base unchanged.

Important Exam Points

The monetary base consists of **currency in circulation** and **bank reserves**.

Bank reserves include **vault cash** and **deposits at the central bank**.

Open market operations are the central bank's buying and selling of government securities.

Open market purchases, foreign exchange purchases, and discount loans all increase the monetary base.

Cash withdrawals only change the composition of the monetary base, not its total size.

5 Important MCQs

Q1. The monetary base consists of:

A) Currency and government bonds

B) Deposits and loans

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

✓C) Currency and bank reserves

D) Loans and reserves

Q2. An open market purchase by the central bank will:

A) Decrease reserves

✓B) Increase reserves and the monetary base

C) Reduce currency

D) Decrease bank capital

Q3. Discount loans are provided by the:

A) Commercial banks

✓B) Central bank

C) Government treasury

D) Insurance companies

Q4. Cash withdrawals by the public affect the monetary base by:

A) Increasing its size

B) Decreasing its size

✓C) Changing its composition only

D) Eliminating bank reserves

Q5. Foreign exchange intervention involves the central bank buying or selling:

A) Corporate shares

B) Commercial paper

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

✓C) Foreign currency assets or foreign government bonds

D) Gold jewelry

Lesson 34 – Deposit Creation in a Single Bank (Summarized Notes)

Deposit Creation in a Single Bank

When the central bank buys a government security from a commercial bank, the bank receives additional reserves.

These extra reserves become **excess reserves**, which the bank tries to lend because excess reserves do not earn as much profit.

When the bank grants a loan, its securities are replaced by loans as assets.

The borrower receives the loan amount in a checking account, creating a new deposit.

Thus, **banks create deposits when they make loans.**

Loan Creation Process

Suppose the central bank purchases a Treasury bond worth **\$100,000** from First Bank.

First Bank now has **\$100,000 of excess reserves.**

The bank lends the entire **\$100,000** to Office Builders Incorporated (OBI).

After making the loan, the bank's assets include the new loan, while the borrower's checking account increases by **\$100,000.**

This newly created checking deposit becomes part of the money supply.

Spending the Loan

OBI uses the **\$100,000** to pay employees and suppliers.

The recipients deposit these checks into their own banks.

As the checks are cleared, reserves are transferred from First Bank to other banks.

First Bank loses the reserves, but it still holds the loan as an asset.

Its checkable deposits also decrease because the money has been transferred to other banks.

Deposit Expansion in the Banking System

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

The bank receiving the new deposit now has additional reserves.

It keeps only the required reserves and lends the remaining excess reserves.

This process continues from one bank to another.

Each bank creates new loans and deposits until all excess reserves become required reserves.

This repeated process is known as **multiple deposit creation**.

Types of Reserves

Actual reserves are the total reserves held by a bank.

Required reserves are the minimum reserves banks must keep according to the reserve requirement ratio.

Required reserves are calculated as:

Required Reserves (RR) = Reserve Requirement Ratio (r) × Checkable Deposits (DD)

Excess reserves are the reserves remaining after required reserves have been set aside.

Banks use excess reserves to create new loans.

Example with a 10% Reserve Requirement

Assume the reserve requirement ratio is **10%**.

Also assume banks hold **no excess reserves** after lending and people do not hold additional currency.

The Second Bank receives a deposit of **\$100,000**.

It must keep **10% (\$10,000)** as required reserves.

The remaining **\$90,000** is excess reserves, which the bank lends.

The Third Bank receives the **\$90,000** deposit.

It keeps **\$9,000** as required reserves and lends **\$81,000**.

The lending process continues in the same way throughout the banking system.

Important Exam Points

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Banks create new deposits by making loans.

Excess reserves are the source of new loans.

Required reserves depend on the reserve requirement ratio.

Multiple deposit creation occurs as loans become deposits in other banks.

With a **10% reserve requirement**, each bank lends **90%** of new deposits.

5 Important MCQs

Q1. Banks create new money when they:

- A) Buy government securities
 - B) Accept deposits
 - ✓C) Make loans
 - D) Collect taxes
-

Q2. Excess reserves are:

- A) Required by the central bank
 - B) Deposits held by customers
 - ✓C) Reserves available for lending
 - D) Bank profits
-

Q3. Required reserves are calculated as:

- A) $\text{Loans} \times \text{Interest Rate}$
 - B) $\text{Deposits} \div \text{Reserve Ratio}$
 - ✓C) $\text{Reserve Requirement Ratio} \times \text{Checkable Deposits}$
 - D) $\text{Currency} \times \text{Deposits}$
-

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Q4. If the reserve requirement is 10%, a bank receiving a \$100,000 deposit can lend:

- A) \$10,000
- B) \$50,000
- ✓C) \$90,000
- D) \$100,000

Q5. The process in which one bank's loan becomes another bank's deposit is called:

- A) Open market operation
- B) Discount lending
- ✓C) Multiple deposit creation
- D) Foreign exchange intervention

Lesson 34 – Deposit Creation in a Single Bank (Summarized Notes)

Deposit Creation in a Single Bank

When the central bank buys a government security from a commercial bank, the bank receives additional reserves.

These extra reserves become **excess reserves**, which the bank tries to lend because excess reserves do not earn as much profit.

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MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

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The bank receiving the new deposit now has additional reserves.

It keeps only the required reserves and lends the remaining excess reserves.

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MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

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Excess reserves are the source of new loans.

Required reserves depend on the reserve requirement ratio.

Multiple deposit creation occurs as loans become deposits in other banks.

With a **10% reserve requirement**, each bank lends **90%** of new deposits.

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Q1. Banks create new money when they:

- A) Buy government securities
- B) Accept deposits
- ✓C) Make loans
- D) Collect taxes

Q2. Excess reserves are:

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

- A) Required by the central bank
 - B) Deposits held by customers
 - ✓C) Reserves available for lending
 - D) Bank profits
-

Q3. Required reserves are calculated as:

- A) Loans $\times$ Interest Rate
 - B) Deposits $\div$ Reserve Ratio
 - ✓C) Reserve Requirement Ratio $\times$ Checkable Deposits
 - D) Currency $\times$ Deposits
-

Q4. If the reserve requirement is 10%, a bank receiving a \$100,000 deposit can lend:

- A) \$10,000
 - B) \$50,000
 - ✓C) \$90,000
 - D) \$100,000
-

Q5. The process in which one bank's loan becomes another bank's deposit is called:

- A) Open market operation
- B) Discount lending
- ✓C) Multiple deposit creation
- D) Foreign exchange intervention

Lesson 35 – Money Multiplier (Summarized Notes)

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Money Multiplier

The money multiplier explains how an increase in the monetary base leads to a much larger increase in the money supply.

It assumes that banks hold **no excess reserves** and the public does **not change its currency holdings**.

Under these assumptions, every increase in bank reserves creates a multiple increase in deposits.

The relationship is:

$$\Delta D = (1 / rD) \times \Delta RR$$

where **rD** is the required reserve ratio.

The expression **(1 / rD)** is called the **simple deposit expansion multiplier**.

Similarly, a decrease in reserves causes a multiple contraction in deposits.

Relationship Between Money and Monetary Base

The quantity of money is related to the monetary base through the money multiplier.

The formula is:

$$M = m \times MB$$

where:

M = Money Supply

m = Money Multiplier

MB = Monetary Base

The monetary base is called **high-powered money** because a small change in it produces a much larger change in the money supply.

Money consists of **currency held by the public** and **checkable deposits**.

$$M = C + D$$

The monetary base consists of **currency** and **bank reserves**.

$$MB = C + R$$

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Bank reserves consist of **required reserves** and **excess reserves**.

$$R = RR + ER$$

Excess Reserve Ratio

Banks do not always lend all of their excess reserves.

The amount of excess reserves depends on the costs and benefits of holding them.

Holding excess reserves reduces profits because banks lose interest income.

However, excess reserves provide safety by helping banks meet unexpected withdrawals.

Higher interest rates encourage banks to hold fewer excess reserves.

Greater uncertainty or withdrawal risk encourages banks to hold more excess reserves.

The **Excess Reserve Ratio** is:

$$ER / D$$

where **ER** is excess reserves and **D** is deposits.

Currency-to-Deposit Ratio

The public decides how much money to hold as cash instead of bank deposits.

Holding cash provides liquidity and convenience but earns no interest.

When interest rates increase, people prefer deposits instead of currency.

When financial risk increases, people prefer to hold more cash.

The **Currency Ratio** is:

$$C / D$$

where **C** is currency and **D** is deposits.

The monetary base is therefore used for:

Required reserves

Excess reserves

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Currency held by the public

Factors Affecting the Money Supply

The quantity of money depends on four major factors.

The first is the **monetary base**, which is controlled by the central bank.

The second is the **required reserve ratio**, determined by banking regulators.

The third is the **excess reserve ratio**, decided by commercial banks.

The fourth is the **currency-to-deposit ratio**, determined by the public.

An increase in the monetary base increases the money supply.

An increase in the required reserve ratio decreases the money supply.

An increase in excess reserves also decreases the money supply.

An increase in currency holdings reduces the money supply because fewer reserves remain available for lending.

The Central Bank's Monetary Policy Toolbox

The central bank controls the quantity of reserves held by commercial banks.

It can influence either the quantity of reserves or the interest rates associated with them.

The two important interest rates are:

The **Federal Funds Rate**, which is the overnight interest rate at which banks lend reserves to each other.

The **Discount Rate**, which is the interest rate charged by the central bank on loans to commercial banks.

The central bank has three major monetary policy tools:

The target federal funds rate.

The discount rate.

The reserve requirement.

The Target Federal Funds Rate and Open Market Operations

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

The target federal funds rate is the central bank's main monetary policy instrument.

Although the federal funds rate is determined by market forces, the central bank influences it through **open market operations**.

When the central bank wants to lower the federal funds rate, it buys government securities.

This increases bank reserves and the money supply.

When it wants to raise the federal funds rate, it sells government securities.

This reduces bank reserves and decreases the money supply.

Open market operations are therefore the primary method used by the central bank to control short-term interest rates.

Important Exam Points

The money multiplier shows the relationship between the money supply and the monetary base.

The simple deposit multiplier is $1 \div \text{Required Reserve Ratio}$.

The monetary base is called **high-powered money**.

An increase in the monetary base increases the money supply.

Higher reserve requirements, excess reserves, and currency holdings reduce the money supply.

The three monetary policy tools are the **target federal funds rate**, **discount rate**, and **reserve requirement**.

5 Important MCQs

Q1. The simple deposit expansion multiplier is:

A) rD

B) $MB \times M$

✓C) $1 \div \text{Required Reserve Ratio}$

D) $C \div D$

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Q2. The monetary base is also known as:

- A) Broad Money
 - B) Narrow Money
 - ✓C) High-Powered Money
 - D) Legal Tender
-

Q3. Which factor increases the money supply?

- A) Higher required reserve ratio
 - B) Higher excess reserves
 - ✓C) Higher monetary base
 - D) Higher currency holdings
-

Q4. Which is the central bank's primary monetary policy instrument?

- A) Discount Rate
 - B) Reserve Requirement
 - ✓C) Target Federal Funds Rate
 - D) Exchange Rate
-

Q5. Open market purchases by the central bank will:

- A) Reduce bank reserves
- B) Reduce the money supply
- ✓C) Increase bank reserves and the money supply
- D) Increase the required reserve ratio

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Lesson 36 – Target Federal Funds Rate and Open Market Operations (Summarized Notes)

Target Federal Funds Rate and Open Market Operations

The central bank controls the federal funds rate by changing the quantity of bank reserves through open market operations.

When the central bank buys government securities, reserves in the banking system increase, which puts downward pressure on interest rates.

When the central bank sells securities, reserves decrease, causing interest rates to rise.

Open market operations are the central bank's primary tool for implementing monetary policy.

Discount Lending, the Lender of Last Resort, and Crisis Management

Discount lending is mainly used during financial emergencies rather than for normal monetary policy operations.

The central bank acts as the lender of last resort by providing loans to banks that cannot obtain funds elsewhere.

Banks must prove they are financially sound before receiving emergency loans.

Discount lending helps prevent bank failures, financial panics, and instability in the banking system.

It also helps keep the market federal funds rate close to the target rate.

The central bank provides three types of discount loans.

Primary credit is short-term overnight lending for financially sound banks that temporarily need additional reserves.

Secondary credit is available to banks that do not qualify for primary credit because they have financial difficulties or temporary reserve shortages.

Seasonal credit is provided mainly to small agricultural banks to meet seasonal fluctuations in deposits and loan demand.

Reserve Requirements

Reserve requirements determine the percentage of customer deposits that banks must keep as reserves.

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Changing reserve requirements affects the ability of banks to create deposits and expand the money supply.

Even small changes in reserve requirements have large effects on the banking system, making this tool less practical for day-to-day monetary policy.

Today, reserve requirements are mainly used to stabilize reserve demand rather than directly control the money supply.

The Central Bank's Monetary Policy Toolbox

The central bank uses three major monetary policy instruments.

The target federal funds rate influences interest rates throughout the economy through open market operations.

The discount rate is the interest rate charged by the central bank on loans to commercial banks and provides emergency liquidity during financial crises.

The reserve requirement determines the fraction of deposits banks must hold as reserves and helps stabilize the banking system.

Linking Tools to Objectives

A good monetary policy instrument should be easy to observe, easy for the central bank to control, and closely connected to policy objectives.

Central banks have shifted over time from controlling the quantity of money to controlling short-term interest rates because interest rates are more effective policy instruments.

Targets and Instruments

Operating instruments are the policy tools that the central bank controls directly, such as interest rates and the monetary base.

Intermediate targets are variables, such as money supply growth, that lie between policy tools and final objectives.

Modern central banks no longer rely heavily on intermediate targets because they are less reliable.

Instead, policymakers focus directly on achieving final objectives such as low inflation and stable economic growth.

Important Exam Points

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

The federal funds rate is controlled mainly through open market operations.

The central bank is known as the lender of last resort because it provides emergency loans to banks.

Primary credit is given to financially sound banks, while secondary credit is provided to weaker banks.

Reserve requirements affect deposit creation but are rarely changed because they have very large effects.

Modern central banks focus directly on final policy objectives instead of intermediate monetary targets.

5 Important MCQs

Q1. The central bank controls the federal funds rate mainly through:

- A) Taxation
- B) Government spending
- ✓C) Open market operations
- D) Printing currency

Q2. The lender of last resort is the:

- A) Commercial bank
- B) Ministry of Finance
- ✓C) Central bank
- D) Stock exchange

Q3. Primary credit is provided to:

- A) Insolvent banks
- ✓B) Financially sound banks
- C) Insurance companies
- D) Finance companies

Q4. Reserve requirements mainly determine:

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

- A) Bank profits
- ✓B) The percentage of deposits banks must hold as reserves
- C) Government borrowing
- D) Stock prices

Q5. Modern central banks mainly focus on:

- A) Intermediate monetary targets only
- B) Gold reserves
- ✓C) Final objectives such as low inflation and stable growth
- D) Increasing government spending

Lesson 37 – Why Do We Care About Monetary Aggregates? (Summarized Notes)

Why Monetary Aggregates Matter

Countries with high inflation almost always experience high money growth.

Sustained inflation cannot continue unless the money supply also continues to grow. This is known as **monetary accommodation**.

When people expect money to lose value quickly, they spend it faster instead of holding it. This increases the speed at which money circulates and puts additional upward pressure on prices.

Therefore, central banks closely monitor money growth to maintain price stability and control inflation.

Velocity of Money and the Equation of Exchange

Velocity of money refers to the number of times a unit of money is used to purchase goods and services during a given period.

The higher the velocity, the more economic transactions each unit of money supports.

The relationship between money and economic activity is explained by the **Equation of Exchange**:

$$M \times V = P \times Y$$

Where:

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M = Money Supply

V = Velocity of Money

P = Price Level

Y = Real GDP

Since $P \times Y$ equals Nominal GDP, the equation shows that:

Money Supply $\times$ Velocity = Nominal GDP

Every monetary aggregate has its own velocity depending on how frequently it is used in transactions.

The Quantity Theory of Money

When the Equation of Exchange is expressed in growth rates, it becomes:

Money Growth + Velocity Growth = Inflation + Real Output Growth

Economist **Irving Fisher** developed this relationship and argued that if velocity remains stable and real output does not change significantly, changes in the money supply directly determine changes in the price level.

Under these assumptions:

If money supply doubles, the general price level also doubles.

This idea became known as the **Quantity Theory of Money**.

Economist **Milton Friedman** summarized this concept by stating that "**Inflation is a monetary phenomenon.**"

Money Demand and Velocity

People demand money mainly to carry out everyday transactions.

Money demand depends on the value of goods and services purchased and the speed at which money circulates.

The money demand equation is:

$$M_d = (1 / V) \times PY$$

Where:

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Md = Money Demand

V = Velocity of Money

PY = Nominal GDP

Money supply is determined by the central bank and the banking system.

In equilibrium:

Money Demand = Money Supply = Money Stock

Rearranging this relationship again produces the Equation of Exchange:

MV = PY

Facts About Velocity

Milton Friedman believed that because velocity changes slowly over long periods, central banks should increase the money supply at a steady and predictable rate.

According to this view, the money supply should grow at a rate equal to:

Real Economic Growth + Desired Inflation Rate

This policy helps achieve stable prices and sustainable economic growth.

Important Exam Points

High inflation is always associated with high money growth over the long run.

Velocity of money measures how many times each unit of money is used in transactions.

The Equation of Exchange is **MV = PY**.

According to the Quantity Theory of Money, if velocity and output remain constant, an increase in money supply causes an equal increase in the price level.

Milton Friedman stated that inflation is a monetary phenomenon and supported steady money supply growth.

5 Important MCQs

Q1. The Equation of Exchange is:

A) $M + V = P + Y$

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

B) $M - V = PY$

✓C) $MV = PY$

D) $M = PVY$

Q2. Velocity of money refers to:

A) The value of money

B) The interest rate on money

✓C) The number of times money is used in transactions

D) The quantity of money printed

Q3. According to the Quantity Theory of Money, if velocity and output remain constant, doubling the money supply will:

A) Double real GDP

B) Reduce inflation

✓C) Double the price level

D) Reduce interest rates

Q4. Who stated that "Inflation is a monetary phenomenon"?

A) John Maynard Keynes

B) Irving Fisher

✓C) Milton Friedman

D) Adam Smith

Q5. According to Milton Friedman, the money supply should grow at a rate equal to:

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

- A) Inflation only
- B) Interest rates only
- ✓C) Real economic growth plus desired inflation
- D) Government spending only

Lesson 38 – The Facts About Velocity (Summarized Notes)

The Facts About Velocity

Milton Friedman argued that central banks should maintain a constant growth rate of the money supply.

He believed that money supply should grow at a rate equal to **real economic growth plus the desired inflation rate**.

Friedman also recommended reducing banks' freedom to create money so that the relationship between the monetary base and money supply would become more stable.

This policy would work only if the **velocity of money remained constant**.

In reality, velocity is fairly stable in the long run but can fluctuate significantly in the short run.

These short-run changes make it difficult for policymakers to control inflation simply by targeting money growth.

For example, if the inflation target is 2% and expected real growth is 3.5%, money growth should normally be 5.5% **minus the growth rate of velocity**.

If velocity increases by 3%, money growth should be 2.5%.

If velocity falls by 3%, money growth should be 8.5%.

Because velocity changes over time, central banks must understand the factors affecting the demand for money.

Transactions Demand for Money

The transactions demand for money is the amount of money people keep to make everyday purchases.

It mainly depends on **nominal income, the cost of holding money, and the availability of alternative financial assets**.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

As income increases, people need more money to carry out daily transactions.

Holding cash has an opportunity cost because money usually earns little or no interest.

When interest rates rise, people prefer interest-bearing assets instead of holding cash.

As a result, they reduce their money balances, and the velocity of money increases.

Effect of Technology on Money Demand

Financial innovations make it easier and cheaper to transfer funds between accounts.

When transfer costs fall, people keep less money in checking accounts and more in interest-earning assets.

Automatic transfer facilities allow money to remain invested until it is needed for payments.

As a result, average money holdings decrease while the velocity of money increases.

Greater liquidity of financial assets such as stocks and bonds also reduces the amount of money people hold for transactions.

Precautionary Demand for Money

People also hold money to prepare for unexpected expenses. This is called the **precautionary demand for money**.

Greater uncertainty about the future encourages people to hold more cash.

Higher precautionary money holdings reduce the velocity of money.

Portfolio Demand for Money

Money is one of many assets that individuals can include in their investment portfolios.

People compare money with other financial assets based on expected returns and risk.

Expectations about future interest rates affect the attractiveness of bonds and other investments.

Changes in expected returns influence how much money people choose to hold.

Important Exam Points

Velocity is stable in the long run but fluctuates in the short run.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Higher interest rates reduce money demand and increase the velocity of money.

Financial innovation lowers money demand by reducing transaction costs.

Precautionary demand for money increases during periods of uncertainty.

Portfolio demand depends on expected returns from alternative financial assets.

5 Important MCQs

Q1. According to Milton Friedman, money supply should grow at a rate equal to:

- A) Government spending
 - B) Interest rates only
 - ✓C) Real economic growth plus desired inflation
 - D) Population growth
-

Q2. The transactions demand for money mainly depends on:

- A) Weather conditions
 - B) Political stability only
 - ✓C) Income, interest rates, and availability of substitutes
 - D) Exchange rates only
-

Q3. When interest rates increase, people generally:

- A) Hold more cash
 - B) Borrow more money
 - ✓C) Hold less money and velocity increases
 - D) Stop making transactions
-

Q4. Precautionary demand for money exists because people:

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

- A) Want to earn more interest
 - B) Want to buy stocks
 - ✓C) Need money for unexpected expenses
 - D) Want to reduce taxes
-

Q5. Financial innovation generally causes:

- A) Higher money demand
- B) Lower velocity of money
- ✓C) Lower money demand and higher velocity
- D) No effect on money demand

Lesson 39 – The Portfolio Demand for Money (Summarized Notes)

The Portfolio Demand for Money

Money is one of several financial assets that people can keep in their investment portfolios.

People decide how much money to hold by comparing it with other assets such as bonds and stocks.

If interest rates are expected to rise in the future, people prefer to hold money instead of bonds because bond prices are expected to fall.

Money demand also increases when other financial assets become riskier.

If other assets become less liquid (harder to convert into cash), people prefer holding money because it is the most liquid asset.

Determinants of Money Demand

The demand for money depends on both transaction needs and portfolio decisions.

In the transactions demand for money, higher nominal income increases money demand because people need more money for spending.

Lower interest rates also increase money demand because the opportunity cost of holding money becomes smaller.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

If alternative payment methods are limited, people hold more money for transactions.

In the portfolio demand for money, greater wealth increases money demand.

When returns on alternative assets decrease, people prefer holding money.

Expected future increases in interest rates encourage people to hold more money instead of bonds.

Higher risk in other financial assets also raises money demand.

If alternative assets become less liquid, people hold more money.

Targeting Money Growth in a Low-Inflation Environment

In the long run, inflation is closely linked to money growth.

In countries with very high inflation, reducing money growth is the only effective way to reduce inflation.

In low-inflation economies, money growth can guide monetary policy only if the velocity of money remains reasonably stable.

For money growth targeting to work effectively, there must be a stable relationship between the monetary base and the money supply.

There must also be a predictable relationship between money growth and inflation.

These relationships help central banks estimate how changes in reserves affect the money supply and inflation.

Potential Output and Long-Run Inflation

Potential output is the level of production an economy can achieve when labor, capital, and technology are used efficiently.

Potential output increases over time as resources and technology improve.

Temporary economic shocks may cause actual output to move above or below potential output, creating an output gap.

In the long run, actual output returns to potential output.

Ignoring changes in velocity, long-run inflation equals money growth minus the growth rate of potential output.

MGT411 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Although central banks mainly control short-term interest rates, they continuously monitor money growth because it influences long-term inflation.

Money Growth, Inflation, and Aggregate Demand

Aggregate demand represents the total demand for goods and services by households, businesses, governments, and foreign buyers.

The equation of exchange ($MV = PY$) links money, prices, and aggregate demand.

An increase in the money supply increases purchasing power and raises aggregate demand.

An increase in the price level reduces the purchasing power of money, lowering aggregate demand.

Thus, monetary policy affects aggregate demand by influencing the quantity of money in the economy.

Important Exam Points

Portfolio demand for money depends on expected returns, risk, and liquidity of other financial assets.

Higher income increases transactions demand for money.

Higher expected future interest rates increase money demand.

Potential output is the economy's normal productive capacity.

In the long run, inflation is approximately equal to money growth minus potential output growth.

Aggregate demand is linked to the money supply through the equation of exchange ($MV = PY$).

5 Important MCQs

Q1. Portfolio demand for money increases when:

- A) Bond prices rise
- B) Interest rates fall permanently
- ✓C) Other financial assets become riskier
- D) Taxes decrease

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Q2. Potential output refers to:

- A) Maximum exports
 - B) Government spending
 - ✓C) The economy's normal productive capacity
 - D) Total money supply
-

Q3. In the long run, inflation mainly depends on:

- A) Government taxes
 - B) Imports
 - ✓C) Money growth relative to potential output growth
 - D) Population growth
-

Q4. Aggregate demand is directly linked to monetary policy through:

- A) Phillips Curve
 - B) IS Curve
 - ✓C) Equation of Exchange ($MV = PY$)
 - D) Laffer Curve
-

Q5. If the price level increases while the money supply remains unchanged, aggregate demand will:

- A) Increase sharply
- B) Remain unchanged
- ✓C) Decrease because purchasing power falls

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D) Double

Lesson 40 – Money Growth, Inflation, and Aggregate Demand (Summarized Notes)

Money Growth, Inflation, and Aggregate Demand

To understand inflation, we must examine changes in the general price level.

If inflation rises faster than money growth while the velocity of money remains constant, real money balances decrease.

When people have lower real money balances, they reduce spending, causing aggregate demand to fall.

This creates a downward-sloping aggregate demand curve, meaning that higher inflation leads to lower aggregate demand.

Changes in interest rates also contribute to the downward slope of the aggregate demand curve.

Monetary Policy and the Real Interest Rate

Central banks directly control short-term nominal interest rates through monetary policy.

However, households and businesses make economic decisions based on the real interest rate rather than the nominal interest rate.

In the short run, inflation changes slowly, so changes in nominal interest rates also change real interest rates.

The real interest rate is the main channel through which monetary policy affects the economy.

By influencing real interest rates, central banks affect borrowing, spending, investment, and overall aggregate demand.

Aggregate Demand and the Real Interest Rate

Aggregate demand is the total demand for goods and services in an economy.

It consists of four components: consumption (C), investment (I), government purchases (G), and net exports (NX).

The aggregate demand equation is:

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$$Y_{ad} = C + I + G + NX$$

Investment is the component most sensitive to changes in the real interest rate.

When real interest rates increase, borrowing becomes more expensive, so investment decreases.

Higher real interest rates also encourage people to save rather than spend, reducing consumption.

Higher domestic interest rates attract foreign investors, causing the domestic currency to appreciate.

A stronger currency makes exports more expensive and imports cheaper, reducing net exports.

Government spending is generally not very sensitive to changes in real interest rates.

Therefore, an increase in the real interest rate reduces consumption, investment, and net exports, leading to a decrease in aggregate demand.

The Long-Run Real Interest Rate

The long-run real interest rate is the interest rate at which aggregate demand equals potential output.

It keeps the economy operating at its normal productive capacity without causing inflationary or recessionary pressures.

If government spending increases, aggregate demand rises.

To restore equilibrium, interest-sensitive spending such as investment must decrease, requiring a higher long-run real interest rate.

If potential output increases, aggregate demand must also increase.

This requires a lower long-run real interest rate to encourage additional spending and investment.

Inflation, the Real Interest Rate, and the Monetary Policy Reaction Curve

Central banks adjust short-term nominal interest rates according to economic conditions.

When inflation is high or output rises above potential output, central banks increase interest rates.

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When inflation is low or output falls below potential output, central banks reduce interest rates.

Although policymakers announce changes in nominal interest rates, their real objective is to influence real interest rates.

Changes in real interest rates affect household and business decisions, ultimately influencing inflation and economic growth.

Modern monetary policy is generally based on an inflation target together with appropriate responses to economic or supply shocks.

Important Exam Points

Aggregate demand decreases when inflation rises faster than money growth.

Real interest rates are more important than nominal interest rates for economic decision-making.

Aggregate demand consists of consumption, investment, government purchases, and net exports.

Higher real interest rates reduce consumption, investment, and net exports.

The long-run real interest rate keeps aggregate demand equal to potential output.

Central banks raise interest rates when inflation is high and lower them during economic slowdowns.

5 Important MCQs

Q1. The aggregate demand equation is:

A) $Y = C + G$

B) $Y = C + I$

✓C) $Y_{ad} = C + I + G + NX$

D) $Y = M + V$

Q2. Which component of aggregate demand is most sensitive to changes in the real interest rate?

A) Government Purchases

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B) Taxes

✓C) Investment

D) Population

Q3. An increase in the real interest rate generally causes:

A) Higher investment

B) Higher consumption

✓C) Lower aggregate demand

D) Higher exports

Q4. The long-run real interest rate is the rate at which:

A) Inflation becomes zero

B) Money supply doubles

✓C) Aggregate demand equals potential output

D) Government spending is eliminated

Q5. When inflation is high, central banks usually:

A) Decrease interest rates

B) Increase government spending

✓C) Raise interest rates

D) Increase the money supply

Lesson 41 – Deriving the Monetary Policy Reaction Curve (Summarized Notes)

Deriving the Monetary Policy Reaction Curve

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The monetary policy reaction curve shows how central banks adjust the real interest rate in response to changes in inflation.

To keep inflation close to its target, policymakers increase the real interest rate when inflation rises.

When inflation falls below the target, policymakers reduce the real interest rate to stimulate economic activity.

The reaction curve is designed so that when current inflation equals the target inflation, the real interest rate equals the long-run real interest rate.

The slope of the monetary policy reaction curve depends on how aggressively policymakers fight inflation.

If policymakers strongly oppose inflation, the curve becomes steeper.

If they are willing to tolerate temporary inflation changes, the curve becomes flatter.

Movements Along the Monetary Policy Reaction Curve

A movement along the reaction curve occurs when current inflation changes.

As inflation increases, the central bank raises the real interest rate.

As inflation decreases, the central bank lowers the real interest rate.

For example, if the inflation target is 2% and the long-run real interest rate is 2.5%, then an increase in inflation from 2% to 3% may cause the real interest rate to rise from 2.5% to 3%.

This movement helps control inflation and maintain economic stability.

Shifting the Monetary Policy Reaction Curve

A shift in the reaction curve occurs when the central bank changes its policy rather than simply responding to inflation.

If policymakers become more aggressive against inflation, the curve becomes steeper.

If they become less concerned about short-term inflation, the curve becomes flatter.

A movement along the curve reflects a change in current inflation, while a shift reflects a change in policy itself.

Effect of Changes in the Inflation Target

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If the central bank increases its inflation target, it is willing to accept higher inflation.

As a result, the monetary policy reaction curve shifts to the right.

At every level of current inflation, the central bank sets a lower real interest rate than before.

If the inflation target decreases, the reaction curve shifts to the left because policymakers adopt a tighter monetary policy.

Effect of Changes in the Long-Run Real Interest Rate

The long-run real interest rate depends on the overall structure of the economy.

Changes in government spending or other non-interest-sensitive components of aggregate demand can increase the long-run real interest rate.

When the long-run real interest rate rises, the monetary policy reaction curve shifts to the left.

When the long-run real interest rate falls, the reaction curve shifts to the right.

Important Exam Points

The monetary policy reaction curve shows how central banks adjust real interest rates in response to inflation.

When inflation equals the target inflation, the real interest rate equals the long-run real interest rate.

Higher inflation causes the central bank to increase the real interest rate.

A steep reaction curve represents aggressive inflation control, while a flat curve represents a less aggressive policy.

An increase in the inflation target shifts the reaction curve to the right.

An increase in the long-run real interest rate shifts the reaction curve to the left.

5 Important MCQs

Q1. The monetary policy reaction curve shows the relationship between:

A) Inflation and unemployment

B) Money supply and GDP

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✓C) Inflation and the real interest rate

D) Government spending and taxes

Q2. When current inflation equals target inflation, the real interest rate equals:

A) Nominal interest rate

B) Discount rate

✓C) Long-run real interest rate

D) Market interest rate

Q3. A steep monetary policy reaction curve indicates that the central bank:

A) Ignores inflation

B) Focuses only on unemployment

✓C) Responds aggressively to inflation

D) Keeps interest rates constant

Q4. An increase in the central bank's inflation target causes the monetary policy reaction curve to:

A) Shift left

B) Become vertical

✓C) Shift right

D) Disappear

Q5. A movement along the monetary policy reaction curve occurs because of:

A) A change in government spending

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B) A change in the inflation target

✓C) A change in current inflation

D) A change in potential output

Lesson 42 – The Aggregate Demand Curve (Summarized Notes)

The Aggregate Demand Curve

The aggregate demand (AD) curve shows the relationship between **current inflation and current output**.

The slope of the aggregate demand curve depends on how sensitive current output is to changes in inflation.

If output changes significantly with a small change in inflation, the AD curve is **flat**.

If output changes only slightly when inflation changes, the AD curve is **steep**.

The sensitivity of output to inflation depends on three factors:

The effect of inflation on real money balances.

How strongly the central bank reacts to inflation.

How much aggregate demand responds to changes in the real interest rate.

If policymakers react aggressively by increasing the real interest rate whenever inflation rises, the monetary policy reaction curve becomes steeper and the aggregate demand curve becomes flatter.

If policymakers react less aggressively, the monetary policy reaction curve becomes flatter and the aggregate demand curve becomes steeper.

Why the Aggregate Demand Curve Slopes Downward

The aggregate demand curve slopes downward for several reasons.

Higher inflation reduces real money balances, lowering people's purchasing power and reducing spending.

Higher inflation also causes the central bank to increase the real interest rate, which reduces consumption, investment, and net exports.

Inflation lowers household wealth, reducing consumption.

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Higher inflation creates greater uncertainty, making investments riskier and lowering wealth.

Inflation may redistribute income from poorer households to wealthier households, reducing overall spending.

People may save more because of uncertainty caused by inflation.

Higher domestic inflation makes foreign goods relatively cheaper, increasing imports and reducing net exports.

Shifting the Aggregate Demand Curve

The aggregate demand curve shifts whenever factors other than inflation change aggregate demand.

Changes in the monetary policy reaction curve shift the aggregate demand curve.

Changes in the long-run real interest rate also shift aggregate demand.

An increase in the inflation target shifts the aggregate demand curve to the right.

An increase in government spending shifts the aggregate demand curve to the right.

A decrease in the inflation target or an increase in the long-run real interest rate shifts the aggregate demand curve to the left.

Changes in the Components of Aggregate Demand

Any change in aggregate demand that is not caused by changes in the real interest rate shifts the aggregate demand curve.

Greater business optimism increases investment and shifts aggregate demand to the right.

Higher consumer confidence increases consumption and shifts aggregate demand to the right.

Higher government spending shifts aggregate demand to the right.

Lower taxes increase disposable income and shift aggregate demand to the right.

Higher net exports, unrelated to interest rates, also shift aggregate demand to the right.

Role of Monetary Policy

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Monetary policy can influence aggregate demand by shifting the monetary policy reaction curve.

Because of this, monetary policy can contribute to recessions if it becomes too restrictive.

Similarly, appropriate monetary policy can reduce or prevent recessions by offsetting negative shifts in aggregate demand.

In reality, inflation and output are determined together, and monetary policy affects both in the short run.

Important Exam Points

The aggregate demand curve shows the relationship between inflation and output.

The aggregate demand curve slopes downward because higher inflation reduces spending and increases real interest rates.

A strong central bank response to inflation makes the aggregate demand curve flatter.

Higher government spending shifts the aggregate demand curve to the right.

Lower taxes also shift aggregate demand to the right.

An increase in the inflation target shifts the aggregate demand curve to the right.

A decrease in the inflation target shifts the aggregate demand curve to the left.

Monetary policy can both cause and reduce recessions by affecting aggregate demand.

5 Important MCQs

Q1. The aggregate demand curve shows the relationship between:

- A) Inflation and unemployment
- B) Interest rates and money supply
- ✓C) Inflation and current output
- D) Government spending and taxes

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Q2. Why does the aggregate demand curve slope downward?

- A) Inflation increases exports
 - B) Inflation raises real money balances
 - ✓C) Higher inflation reduces spending and increases real interest rates
 - D) Government spending always decreases
-

Q3. Which of the following shifts the aggregate demand curve to the right?

- A) Higher taxes
 - B) Lower consumer confidence
 - ✓C) Increase in government spending
 - D) Decrease in investment
-

Q4. If the central bank reacts aggressively to inflation, the aggregate demand curve becomes:

- A) Vertical
 - B) Steeper
 - ✓C) Flatter
 - D) Horizontal
-

Q5. Which factor shifts the aggregate demand curve to the left?

- A) Increase in consumer confidence
- B) Increase in government spending
- C) Increase in net exports

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✓D) Decrease in the inflation target

Lesson 43 – The Aggregate Supply Curve (Summarized Notes)

The Aggregate Supply Curve

The aggregate supply (AS) curve shows the relationship between **inflation and real output**.

It determines where the economy reaches equilibrium on the aggregate demand curve.

The **short-run aggregate supply (SRAS) curve** shows the level of inflation and output in the short run.

The **long-run aggregate supply (LRAS) curve** shows the level of output the economy moves toward in the long run.

Inflation Persistence

Inflation usually changes slowly over time.

If inflation is low in one year, it is likely to remain low in the following year.

If inflation is high, it usually stays high for some time.

This behavior is called **inflation persistence**.

Inflation persistence occurs because people expect inflation to continue and adjust their wages and prices accordingly.

Expected inflation therefore becomes an important determinant of current inflation.

Inflation persistence also occurs because wages and prices are not adjusted at the same time.

These staggered wage and price adjustments slow the process of inflation changes.

Since inflation remains fairly constant in the short run, the short-run aggregate supply curve is **horizontal** at the current inflation rate.

In the short run, firms mainly adjust **production levels** rather than changing prices.

Over longer periods, inflation changes and the short-run aggregate supply curve shifts upward or downward.

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Shifts in the Short-Run Aggregate Supply Curve

The short-run aggregate supply curve shifts because of two main reasons:

Changes in the **output gap**.

Changes in **production costs (inflation shocks)**.

Output Gap and SRAS

When current output equals potential output, there is **no output gap**, and the SRAS curve remains stable.

If current output rises above potential output, an **expansionary output gap** occurs.

Firms increase wages and prices, causing inflation to rise.

As a result, the SRAS curve shifts **upward**.

If current output falls below potential output, a **recessionary output gap** occurs.

Firms raise wages and prices more slowly, causing inflation to fall.

As a result, the SRAS curve shifts **downward**.

Economists disagree about how quickly inflation adjusts.

Some believe prices are flexible and adjust rapidly.

Others believe long-term wage and price contracts make adjustment slow.

Inflation Shocks

An inflation shock is a sudden increase in production costs that shifts the SRAS curve.

Inflation shocks may result from higher wages, increased raw material prices, or higher energy prices.

A **positive inflation shock** shifts the SRAS curve upward and increases inflation.

The Long-Run Aggregate Supply Curve

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In the long run, the economy moves to the point where **current output equals potential output**.

The long-run aggregate supply (LRAS) curve is **vertical** at the level of potential output.

In long-run equilibrium, current inflation equals expected inflation.

Changes in expected inflation shift the short-run aggregate supply curve.

Potential output increases over time because of investment, technological progress, and growth in productive capacity.

An increase in productive capacity shifts the LRAS curve **to the right**.

A decrease in productive capacity shifts the LRAS curve **to the left**.

Important Exam Points

The aggregate supply curve shows the relationship between inflation and real output.

The short-run aggregate supply curve is horizontal because of inflation persistence.

Inflation persistence occurs due to inflation expectations and staggered wage-price adjustments.

When output is above potential output, inflation rises and the SRAS curve shifts upward.

When output is below potential output, inflation falls and the SRAS curve shifts downward.

Inflation shocks increase production costs and shift the SRAS curve upward.

The long-run aggregate supply curve is vertical at potential output.

An increase in productive capacity shifts the LRAS curve to the right.

5 Important MCQs

Q1. Inflation persistence means that inflation:

A) Changes rapidly every month

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- B) Always falls over time
 - ✓C) Tends to remain at its current level for some time
 - D) Depends only on interest rates
-

Q2. The short-run aggregate supply curve is horizontal because:

- A) Output never changes
 - B) Interest rates remain fixed
 - ✓C) Inflation is persistent in the short run
 - D) Government spending is constant
-

Q3. When current output exceeds potential output, the SRAS curve:

- A) Shifts downward
 - B) Remains unchanged
 - ✓C) Shifts upward
 - D) Becomes vertical
-

Q4. A positive inflation shock is caused by:

- A) Lower production costs
 - B) Lower wages
 - ✓C) Higher production costs such as energy or raw material prices
 - D) Lower taxes
-

Q5. The long-run aggregate supply curve is:

- A) Horizontal

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B) Downward sloping

C) Upward sloping

✓D) Vertical at potential output

Lesson 44 – Equilibrium and the Determination of Output and Inflation (Summarized Notes)

Short-Run Equilibrium

Short-run equilibrium is determined where the **Aggregate Demand (AD) curve** intersects the **Short-Run Aggregate Supply (SRAS) curve**.

At this point, both **current inflation** and **actual output** are determined.

This intersection represents the economy's short-run equilibrium.

Adjustment to Long-Run Equilibrium

If **current output exceeds potential output**, an **expansionary output gap** occurs.

The expansionary gap puts upward pressure on inflation.

As inflation rises, the **SRAS curve shifts upward**.

Output gradually falls back toward potential output.

The adjustment continues until current output equals potential output and inflation stops changing.

If **current output is below potential output**, a **recessionary output gap** occurs.

The recessionary gap puts downward pressure on inflation.

The **SRAS curve shifts downward**, allowing output to gradually rise back to potential output.

Eventually, the economy returns to long-run equilibrium.

This shows that the economy has a **self-correcting mechanism**.

In long-run equilibrium, **current output equals potential output**, and **current inflation equals expected inflation and target inflation**.

Impact of an Increase in Aggregate Demand

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Suppose **government spending increases**.

This shifts the **Aggregate Demand (AD) curve** to the right.

In the short run, output rises above potential output.

Inflation initially remains unchanged.

The economy moves to a new short-run equilibrium, creating an **expansionary output gap**.

Adjustment After the Increase in Aggregate Demand

Because output exceeds potential output, inflation begins to rise.

The **SRAS curve shifts upward**.

Policymakers raise the **real interest rate**.

Output gradually falls toward potential output.

Eventually, the economy reaches long-run equilibrium again.

Output returns to potential output while inflation becomes higher than before.

Monetary Policy Response

If policymakers do nothing after aggregate demand increases, inflation remains permanently higher.

If the central bank wants to maintain its original inflation target, it shifts the **Monetary Policy Reaction Curve (MPRC)** to the left.

The real interest rate increases.

Aggregate demand shifts back to the left.

The economy returns to its original long-run equilibrium.

Thus, monetary policy can offset increases in aggregate demand.

Effects of Changes in Aggregate Demand

An increase in aggregate demand causes a **temporary increase in output** and a **temporary increase in inflation**.

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A decrease in aggregate demand causes a **temporary decrease in output** and a **temporary decrease in inflation**.

A permanent increase in inflation occurs only if the **central bank changes its inflation target**.

Impact of Inflation Shocks

An **inflation shock** shifts the **Short-Run Aggregate Supply (SRAS)** curve.

Examples include increases in **oil prices, wages, or raw material costs**.

A **positive inflation shock** shifts the SRAS curve upward.

As a result, **inflation rises** and **output falls**.

This situation is called **stagflation**.

Adjustment After an Inflation Shock

Lower output creates a **recessionary output gap**.

The recessionary gap puts downward pressure on inflation.

Gradually, the **SRAS curve shifts downward**, inflation falls, and output rises.

Eventually, current output returns to potential output and inflation returns to the central bank's target.

Inflation shocks do **not** change the economy's long-run equilibrium.

Only **changes in potential output** or **changes in the central bank's inflation target** can permanently change long-run equilibrium.

Important Exam Points

Short-run equilibrium occurs where the **Aggregate Demand (AD)** curve intersects the **Short-Run Aggregate Supply (SRAS)** curve.

An **expansionary output gap** causes inflation to rise and shifts the SRAS curve upward.

A **recessionary output gap** causes inflation to fall and shifts the SRAS curve downward.

The economy has a **self-correcting mechanism** that returns output to potential output.

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In long-run equilibrium, **current output = potential output** and **current inflation = expected inflation = target inflation**.

An increase in aggregate demand temporarily increases both output and inflation.

A positive inflation shock causes **stagflation** (higher inflation and lower output).

Inflation shocks do not permanently affect long-run equilibrium.

Only **changes in potential output** or the **central bank's inflation target** permanently change long-run equilibrium.

5 Important MCQs

Q1. Short-run equilibrium is determined by the intersection of:

- A) LRAS and SRAS
 - B) Money demand and money supply
 - ✓C) Aggregate Demand and Short-Run Aggregate Supply
 - D) Aggregate Demand and LRAS
-

Q2. When current output exceeds potential output, the economy experiences:

- A) Recessionary gap
 - ✓B) Expansionary output gap
 - C) Liquidity trap
 - D) Inflation shock
-

Q3. A positive inflation shock causes:

- A) Lower inflation and higher output
- B) Higher output only
- ✓C) Higher inflation and lower output (stagflation)
- D) No effect on output

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Q4. The economy's self-correcting mechanism works because:

- A) Aggregate demand automatically increases
- B) Taxes automatically decrease
- ✓C) The SRAS shifts in response to output gaps
- D) Government spending always rises

Q5. Which factors can permanently change long-run equilibrium?

- A) Inflation shocks only
- B) Aggregate demand only
- ✓C) Changes in potential output or the central bank's inflation target
- D) Temporary output gaps only

Lesson 45 – Shifts in Potential Output and Real Business Cycle Theory (Summarized Notes)

Shifts in Potential Output

Changes in **potential output** shift the **Long-Run Aggregate Supply (LRAS) curve**.

When potential output increases, the **LRAS curve shifts to the right**.

Initially, there is **no change in current output or inflation** because the **Short-Run Aggregate Supply (SRAS) curve** remains unchanged.

However, current output now becomes **lower than potential output**, creating a **recessionary output gap**.

This recessionary gap puts **downward pressure on inflation**.

As inflation falls, the **SRAS curve shifts downward**, and output gradually rises toward the new higher level of potential output.

Policymakers' Response to Higher Potential Output

After potential output increases, policymakers have two choices.

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They can **allow inflation to fall** by reducing the inflation target.

Or they can **prevent inflation from falling** by taking expansionary monetary policy actions.

An increase in potential output also **reduces the long-run real interest rate**.

Real Business Cycle (RBC) Theory

Real Business Cycle (RBC) Theory explains business cycles through **changes in potential output** instead of changes in aggregate demand.

It assumes that **prices and wages are flexible**, so inflation adjusts quickly.

Because inflation adjusts rapidly, the **SRAS curve becomes less important**.

Under RBC theory, **equilibrium always occurs where current output equals potential output**.

Changes in aggregate demand affect **inflation only**, while **output remains unchanged**.

Recessions and booms are explained mainly by **changes in productivity**, labor, capital, and technology.

Effects of Different Economic Shocks

An **increase in aggregate demand** temporarily increases output while inflation initially remains unchanged.

Later, inflation rises and output returns to its original potential level.

A **positive inflation shock** increases inflation and reduces output in the short run.

Eventually, inflation falls and output returns to its original potential output.

An **increase in potential output** leaves inflation unchanged in the short run but eventually lowers inflation and increases output.

Stabilization Through Monetary Policy

The central bank can stabilize the economy by **shifting the Aggregate Demand (AD) curve** through changes in the **Monetary Policy Reaction Curve (MPRC)**.

Monetary policy **can offset shifts in aggregate demand**.

For example, if consumer or business confidence falls, aggregate demand shifts left.

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The central bank responds by **shifting the MPRC to the right**, lowering the real interest rate.

This shifts aggregate demand back to its original position, keeping output and inflation stable.

Inflation Shocks and the Policy Trade-Off

Inflation shocks create a difficult problem for policymakers.

A **positive inflation shock** causes **higher inflation and lower output**.

Monetary policy **cannot shift the SRAS curve**.

It can only shift the **Aggregate Demand (AD) curve**.

Therefore, policymakers cannot completely eliminate the effects of inflation shocks.

They must choose between stabilizing **inflation** or stabilizing **output**.

If policymakers respond **aggressively**, inflation returns to target quickly, but output falls sharply.

If policymakers respond **cautiously**, output remains more stable, but inflation stays above target for longer.

Opportunities Created by Higher Productivity

An increase in **productivity** raises potential output.

The **LRAS curve shifts to the right**.

The resulting recessionary gap puts downward pressure on inflation.

Policymakers may reduce the inflation target without causing a recession.

Alternatively, they can shift the **MPRC to the right**, increasing aggregate demand.

This allows output to increase while keeping inflation at the target level.

Fiscal Policy

Fiscal policy uses **government spending and taxation** to stabilize the economy.

Like monetary policy, it can offset **aggregate demand shocks**.

However, fiscal policy has important limitations.

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It works slowly because economic data becomes available with delays.

Passing new tax or spending laws also takes time.

Political factors often influence fiscal decisions more than economic considerations.

Therefore, stabilization policy is usually better handled by the **central bank**, while fiscal policy plays a supporting role.

Important Exam Points

An increase in potential output shifts the **LRAS curve to the right**.

Initially, output and inflation remain unchanged because the **SRAS curve does not shift immediately**.

A higher potential output creates a **recessionary output gap**, causing inflation to fall over time.

Real Business Cycle (RBC) Theory explains business cycles through **changes in productivity and potential output**.

Under RBC theory, aggregate demand changes affect **inflation but not output**.

Monetary policy can stabilize **aggregate demand shocks** but cannot eliminate **inflation shocks**.

A positive inflation shock causes **higher inflation and lower output**.

Aggressive monetary policy stabilizes inflation quickly but causes larger output losses.

Fiscal policy can stabilize demand but is generally **slower and less effective** than monetary policy.

5 Important MCQs

Q1. An increase in potential output causes the LRAS curve to:

- A) Shift left
- B) Remain unchanged
- ✓C) Shift right
- D) Become horizontal

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Q2. Real Business Cycle (RBC) Theory explains business cycles mainly through changes in:

- A) Government spending
 - B) Inflation expectations
 - ✓C) Productivity and potential output
 - D) Money supply
-

Q3. Under Real Business Cycle Theory, changes in aggregate demand mainly affect:

- A) Output only
 - ✓B) Inflation only
 - C) Employment only
 - D) Potential output
-

Q4. Monetary policy can directly stabilize:

- A) Inflation shocks
 - ✓B) Aggregate demand shocks
 - C) Production costs
 - D) Productivity growth
-

Q5. Compared with monetary policy, fiscal policy is generally:

- A) Faster and more effective
- B) Able to eliminate inflation shocks
- ✓C) Slower because of implementation and political delays
- D) Controlled by the central bank

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